

LOS ANGELES UNIFIED SCHOOL DISTRICT

Measure K, Measure R, Measure Y,
Measure Q, Measure RR, and Measure US
School Bond Construction Programs
Audited Financial Statements
Year Ended June 30, 2025



LOS ANGELES UNIFIED SCHOOL DISTRICT
DISTRICT BOND FUNDS
Year Ended June 30, 2025

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Independent Auditor's Report

The Honorable Board of Education and
School Construction Bond Citizens' Oversight Committee
Los Angeles Unified School District

Report on the Audit of the Financial Statements

Opinions

We have audited the accompanying financial statements of the Los Angeles Unified School District (the District) **District Bond Funds (Measure K, Measure R, Measure Y, Measure Q, Measure RR, and Measure US General Obligation Bonds)** as of and for the year ended June 30, 2025, and the related notes to the financial statements, as listed in the table of contents.

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the Los Angeles Unified School District's (the District), District Bond Funds (Measure K, Measure R, Measure Y, Measure Q, Measure RR, and Measure US General Obligation Bonds) as of June 30, 2025, and the respective changes in financial position for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Emphasis of Matter

As discussed in Note 1, the financial statements present only the financial activity and balances of the District Bond Funds (Measure K, Measure R, Measure Y, Measure Q, Measure RR, and Measure US General Obligation Bonds), and do not purport to, and do not, present fairly the financial position of the Los Angeles Unified School District, as of June 30, 2025, or the changes in its financial position for the year then ended, in accordance with accounting principles generally accepted in the United States of America. Our opinion is not modified with respect to this matter.



Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.



Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's District Bond Funds (Measure K, Measure R, Measure Y, Measure Q, Measure RR, and Measure US General Obligation Bonds) financial statements. The statement of bond expenditures and the related notes on pages 16 to 17 are presented for purposes of additional analysis and are not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the schedule of sources and uses of funds and fund balance and related notes on pages 19 to 20, and the schedule of bond expenditures and related notes on pages 19 to 27 but does not include the financial statements and our auditor's report thereon. Our opinions on the financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated April 24, 2026, on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

A handwritten signature in black ink, reading 'Simpson & Simpson' in a cursive script.

Los Angeles, California
April 24, 2026

LOS ANGELES UNIFIED SCHOOL DISTRICT
DISTRICT BOND FUNDS
Balance Sheet
Year Ended June 30, 2025
(in thousands)

	<u>Measure K</u>	<u>Measure R</u>	<u>Measure Y</u>	<u>Measure Q</u>	<u>Measure RR</u>	<u>Measure US</u>	<u>Total District Bond Funds</u>
Assets							
Cash in county treasury, in banks, and on hand	\$ 40,942	\$ 64,310	\$ 57,683	\$ 351,330	\$ 871,003	\$ 447,401	\$ 1,832,669
Accrued interest receivable	387	585	536	3,730	8,232	2,758	16,228
Prepays	23	-	-	-	-	-	23
Total Assets	<u>41,352</u>	<u>64,895</u>	<u>58,219</u>	<u>355,060</u>	<u>879,235</u>	<u>450,159</u>	<u>1,848,920</u>
Deferred Outflows of Resources	-	-	-	-	-	-	-
Total Assets and Deferred Outflow of Resources	<u>\$ 41,352</u>	<u>\$ 64,895</u>	<u>\$ 58,219</u>	<u>\$ 355,060</u>	<u>\$ 879,235</u>	<u>\$ 450,159</u>	<u>\$ 1,848,920</u>
Liabilities and Fund Balances							
Vouchers and accounts payable	\$ 2,733	\$ 483	\$ 634	\$ 21,935	\$ 24,365	\$ 9	\$ 50,159
Contracts payable	3,897	69	98	48,395	55,745	108	108,312
Accrued payroll	16	5	3	9,169	991	36	10,220
Other payables	818	709	73	9,823	2,638	6	14,067
Total Liabilities	<u>7,464</u>	<u>1,266</u>	<u>808</u>	<u>89,322</u>	<u>83,739</u>	<u>159</u>	<u>182,758</u>
Deferred Inflows of Resources	-	-	-	-	-	-	-
Fund Balances							
Nonspendable	23	-	495	1	-	-	519
Restricted	33,865	63,629	56,916	265,737	795,496	450,000	1,665,643
Total Fund Balances	<u>33,888</u>	<u>63,629</u>	<u>57,411</u>	<u>265,738</u>	<u>795,496</u>	<u>450,000</u>	<u>1,666,162</u>
Total Liabilities, Deferred Inflows of Resources and Fund Balances	<u>\$ 41,352</u>	<u>\$ 64,895</u>	<u>\$ 58,219</u>	<u>\$ 355,060</u>	<u>\$ 879,235</u>	<u>\$ 450,159</u>	<u>\$ 1,848,920</u>

**LOS ANGELES UNIFIED SCHOOL DISTRICT
DISTRICT BOND FUNDS**

Statement of Revenues, Expenditures, and Changes in Fund Balances
Year Ended June 30, 2025
(in thousands)

	<u>Measure K</u>	<u>Measure R</u>	<u>Measure Y</u>	<u>Measure Q</u>	<u>Measure RR</u>	<u>Measure US</u>	<u>Total District Bond Funds</u>
Revenues							
Other local revenues	\$ 3,417	\$ 3,415	\$ 5,054	\$ 32,164	\$ 40,004	\$ (8,629)	\$ 75,425
Total Revenues	<u>3,417</u>	<u>3,415</u>	<u>5,054</u>	<u>32,164</u>	<u>40,004</u>	<u>(8,629)</u>	<u>75,425</u>
Expenditures							
Current							
Classified salaries	199	338	432	49,294	2,238	53	52,554
Employee benefits	109	192	240	27,349	1,218	25	29,133
Books and supplies	1,544	19	96	3,622	674	11	5,966
Services and other operating expenditures	288	850	284	8,992	10,891	2,233	23,538
Capital outlay	16,999	2,843	9,114	691,439	445,607	117	1,166,119
Debt service – principal	-	-	-	-	64	-	64
Debt service – bond, COPs, and capital leases interest	-	-	-	-	8	-	8
Total Expenditures	<u>19,139</u>	<u>4,242</u>	<u>10,166</u>	<u>780,696</u>	<u>460,700</u>	<u>2,439</u>	<u>1,277,382</u>
Excess (Deficiency) of Revenues Over (Under) Expenditures	<u>(15,722)</u>	<u>(827)</u>	<u>(5,112)</u>	<u>(748,532)</u>	<u>(420,696)</u>	<u>(11,068)</u>	<u>(1,201,957)</u>
Other Financing Sources (Uses)							
Transfers in	1,045	1,688	-	100,476	26,655	-	129,864
Transfers out	(1,737)	(521)	(6,456)	(7,131)	(692)	(238,932)	(255,469)
Capital leases	-	-	-	-	497	-	497
Proceeds from issuance of bonds	-	-	-	525,000	575,000	700,000	1,800,000
Total Other Financing Sources (Uses)	<u>(692)</u>	<u>1,167</u>	<u>(6,456)</u>	<u>618,345</u>	<u>601,460</u>	<u>461,068</u>	<u>1,674,892</u>
Net Changes in Fund Balances	(16,414)	340	(11,568)	(130,187)	180,764	450,000	472,935
Fund Balances, July 1, 2024	50,302	63,289	68,979	395,925	614,732	-	1,193,227
Fund Balances, June 30, 2025	<u>\$ 33,888</u>	<u>\$ 63,629</u>	<u>\$ 57,411</u>	<u>\$ 265,738</u>	<u>\$ 795,496</u>	<u>\$ 450,000</u>	<u>\$ 1,666,162</u>

LOS ANGELES UNIFIED SCHOOL DISTRICT

Notes to Financial Statements

Year Ended June 30, 2025

(1) Summary of Significant Accounting Policies

The Los Angeles Unified School District (District) accounts for its financial transactions in accordance with the policies and procedures of the California Department of Education's California School Accounting Manual. The accounting policies of the District conform to U.S. generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board (GASB).

The following summary of the more significant accounting policies of the District is provided to assist the reader in interpreting the basic financial statements presented in this section. These policies, as presented, should be viewed as an integral part of the accompanying financial statements.

(a) Reporting Entity

The District is primarily responsible for all activities related to K-12 public education in most of the western section of Los Angeles County, State of California. The governing authority, as designated by the State Legislature, consists of seven elected officials who together constitute the Board of Education (Board). Those organizations, functions, and activities (component units) for which the Board has accountability comprise the District's reporting entity.

On November 5, 2002, Los Angeles voters authorized \$3.350 billion in general obligation bonds (Measure K) for various purposes including new construction, acquisition, rehabilitation and upgrading of specifically identified school facilities. The measure was approved by 68% of the voters.

On March 2, 2004, Los Angeles voters authorized \$3.870 billion in general obligation bonds (Measure R) for various purposes including new construction, acquisition, rehabilitation and upgrading of specifically identified school facilities and installation and upgrading of information-technology infrastructure. The measure was approved by 63% of the voters.

On November 8, 2005, Los Angeles voters authorized \$3.985 billion in general obligation bonds (Measure Y) for various purposes including new construction, acquisition, rehabilitation and upgrading of specifically identified school facilities and installation and upgrading of information-technology infrastructure. The measure was approved by 66% of the voters.

On November 4, 2008, Los Angeles voters authorized \$7.000 billion in general obligation bonds (Measure Q) for various purposes including new construction, acquisition, rehabilitation and upgrading of specifically identified school facilities and installation and upgrading of information-technology infrastructure. The measure was approved by 69% of the voters.

On November 3, 2020, Los Angeles voters authorized \$7.000 billion in general obligation bonds (Measure RR) for various purposes including new construction, acquisition, rehabilitation and upgrading of specifically identified school facilities and implementing COVID-19 facility safety standards. The measure was approved by 71% of the voters.

On November 5, 2024, Los Angeles voters authorized \$9.000 billion in general obligation bonds (Measure US) for various purposes including new construction, acquisition, rehabilitation and upgrading of specifically identified school facilities and installation and upgrading of information-technology infrastructure. The measure was approved by 68% of the voters.

LOS ANGELES UNIFIED SCHOOL DISTRICT

Notes to Financial Statements

Year Ended June 30, 2025

The Statements are presented for the District's individual General Obligation Bond Measures K, R, Y, Q, RR, and US. These include the Election of 2002 (Series A, B, C, D, KRY (2009-BAB), KRY (2009-TE), KRY (2010-TE), and KY(2010)); the Election of 2004 (Series A, B, C, D, E, F, G, H, I, J, K, KRY (2009-BAB), KRY (2009-TE), RY (2010-BAB), KRY (2010-TE), RYQ (2020), and RYRR (2021)); the Election of 2005 (Series A, B, C, D, E, F, G, H, I, J-1, J-2, K, L, M-1, M-2, KRY (2009-BAB), KRY (2009-TE), RY (2010-BAB), KRY (2010-TE), KY(2010), RYQ (2020), and RYRR (2021)); the Election of 2008 (Series A, B-1, B-2, C, RYQ (2020), QRR(2022), QRR(2023), and QRR(2024)); Election of 2020 (RYRR (2021), QRR(2022), QRR(2023), and QRR(2024)); and Election of 2024 (Series A-1, A-2, and B).

(b) *Measurement Focus and Basis of Accounting*

The financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recorded when both measurable and available to finance expenditures of the fiscal period. "Available" means collectible within the current period or soon enough thereafter to pay current liabilities. Application of this criteria requires consideration of the materiality of the item in question and due regard for the practicality of accrual, as well as consistency in application.

Expenditures for the governmental funds are generally recognized when the related fund liability is incurred, except debt service expenditures and expenditures related to compensated absences which are recognized when payment is due.

(c) *Financial Statement Presentation*

The financial statements include the activity and balances of Measures K, R, Y, Q, RR, and US General Obligation Bonds, only. These financial statements are not intended to present the financial position and results of operations of the District as a whole.

(d) *Fund Accounting*

The District's accounting system is organized and operated on the basis of funds. Fund Accounting emphasizes accountability rather than profitability. Resources are allocated to and accounted for in individual funds based upon the purposes for which they are to be spent and the means by which spending activities are controlled.

(e) *Budgetary Control and Encumbrances*

School districts in California are required by Education Code Section 41010 to follow the California School Accounting Manual in preparing reports to the State. The District utilizes a single adoption budget schedule that requires Final Budget adoption by the State-mandated July 1 deadline. The District is allowed to modify its adopted budget within 45 days of the passage of the State budget. In addition, the District revises the budget during the year to give consideration to unanticipated revenues and expenditures.

In accordance with the District's Board policy, management has the authority to make routine transfers of budget appropriations among major categories within a fund. Routine budget transfers are summarized and periodically reported to the Board for ratification. Nonroutine transfers may not be processed without prior Board approval.

LOS ANGELES UNIFIED SCHOOL DISTRICT

Notes to Financial Statements

Year Ended June 30, 2025

Formal budgetary integration is employed as a management control device during the year for all budgeted funds. The District employs budgetary control by object and by program accounts. Expenditures may not legally exceed budgeted appropriations by major object level as follows: Certificated Salaries, Classified Salaries, Employee Benefits, Books and Supplies, Services and Other Operating Expenditures, Capital Outlay, Other Outgo, and Other Financing Uses.

The District utilizes an encumbrance system for all budgeted funds to reserve portions of applicable appropriations for which commitments have been made. Encumbrances are recorded for purchase orders, contracts, and other commitments when they are written. Encumbrances are liquidated when the commitments are paid or liabilities are incurred. All encumbrances expire at June 30. Appropriation authority lapses at the end of the fiscal year.

(f) *Cash and Investments*

Cash includes amounts in demand deposits with the Los Angeles County Treasury and various financial institutions, imprest funds for schools and offices, and cafeteria change funds. The District maintains some cash deposits with various banking institutions for collection clearing, check clearing, or revolving fund purposes. The District also maintains deposit accounts held by various trustees for the acquisition or construction of capital assets, for the repayment of long-term debts, and for the payment of other postemployment benefits.

In accordance with State Education Code Section 41001, the District deposits virtually all of its cash with the Treasurer of the County of Los Angeles. The District's deposits, along with funds from other local agencies such as the county government, other school districts, and special districts, make up a pool, which the County Treasurer manages for investment purposes. Earnings from the pooled investments are allocated to participating funds based on average investment in the pool during the allocation period.

All District-directed investments are governed by Government Code Section 53601 and Treasury investment guidelines. The guidelines limit specific investments to government securities, domestic chartered financial securities, domestic corporate issues, and California municipal securities. The District's securities portfolio is held by the County Treasurer. Interest earned on investments is recorded as revenue of the fund from which the investment was made. All District investments are stated at fair value based on quoted market prices.

(g) *Contracts Payable*

Contracts payable includes only the portion applicable to work completed and unpaid as of June 30, 2025.

(h) *Estimates*

The preparation of financial statements in conformity with U.S. generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities, revenues and expenses in the accompanying basic financial statements. Actual results may differ from those estimates.

LOS ANGELES UNIFIED SCHOOL DISTRICT

Notes to Financial Statements

Year Ended June 30, 2025

(i) *New Pronouncements*

For the fiscal year ended June 30, 2025, the District implemented GASB issued Statement No. 101, Compensated Absences which supersedes GASB Statement 16 Accounting for Compensated Absences, effective for fiscal years beginning after December 15, 2023. The updated standard addresses accounting and government-wide financial reporting of compensated absences and associated salary-related payments including certain defined contributions pension and defined contribution other postemployment benefits (OPEB).

For the fiscal year ended June 30, 2025, the District implemented GASB issued Statement No. 102, Certain Risk Disclosures, effective for fiscal years beginning after June 15, 2024. The standard provides users of government financial statements with essential information about risk related to a government's vulnerabilities due to certain concentrations or constraints. GASB 102 requirements apply only to note disclosure and do not have any effect on beginning net position. The District implemented GASB 102 and evaluated their concentrations and constraints, but did not have any events that required disclosure.

(2) **Cash and Investments**

Cash and investments as of June 30, 2025 are classified in the accompanying basic financial statements as follows (in thousands):

Balance Sheet	Measure K	Measure R	Measure Y	Measure Q	Measure RR	Measure US
Cash	\$ 40,942	\$ 64,310	\$ 57,683	\$ 351,330	\$ 871,003	\$ 447,401
Total cash and investments	\$ 40,942	\$ 64,310	\$ 57,683	\$ 351,330	\$ 871,003	\$ 447,401

Cash and investments as of June 30, 2025 consist of the following (in thousands):

	Measure K	Measure R	Measure Y	Measure Q	Measure RR	Measure US
Cash on hand	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Deposits with financial institutions and Los Angeles County Pool	40,942	64,310	57,683	351,330	871,003	447,401
Total cash and investments	\$ 40,942	\$ 64,310	\$ 57,683	\$ 351,330	\$ 871,003	\$ 447,401

Deposits (all funds) with financial institutions include cash in the Los Angeles County Pooled Surplus Investment Fund (\$1,832.7 million).

School districts are required by Education Code Section 41001 to deposit their funds with the county treasury. Cash in county treasury refers to the fair value of the District's share of the Los Angeles County (County) Pooled Surplus Investment (PSI) Fund.

LOS ANGELES UNIFIED SCHOOL DISTRICT

Notes to Financial Statements

Year Ended June 30, 2025

The authority to invest District funds deposited with the county treasury is delegated to the County Treasurer and Tax Collector. Additional information about the investment policy of the County Treasurer and Tax Collector may be obtained from the website at <https://ttc.lacounty.gov/>.

The table below identifies some of the investment types permitted in the investment policy:

Authorized Investment Type	Maximum Maturity	Maximum Total Par Value	Maximum Par Value per Issuer
A. Obligations of the U.S. government, its agencies and instrumentalities	None	None	None
B. Approved Municipal Obligations	5 to 30 years	10% of PSI portfolio	None
C. Asset-Backed Securities with highest ratings	5 years	20% of PSI portfolio	with credit rating limits
D. Bankers' Acceptances Domestic and Foreign	180 days	40% of PSI portfolio	with credit rating limits
E. Negotiable Certificates of Deposits – Domestic	3 years	30% of PSI portfolio	with credit rating limits
Negotiable Certificates of Deposits – Euro	1 year	10% of PSI portfolio	with credit rating limits
F. Corporate and Depository Notes	3 years	30% of PSI portfolio	with credit rating limits
G. Floating Rate Notes	7 years	10% of PSI portfolio	with credit rating limits
H. Commercial Paper of “prime” quality of the highest ranking or of the highest letter or number ranking as provided for by a nationally recognized statistical-rating organization (NRSRO)	270 days	40% of PSI portfolio	Lesser of 10% of PSI portfolio or credit rating limits
I. Shares of Beneficial Interest	None	Money Market Funds: 15% of PSI portfolio with no more than 10% in any one fund	None
J. Repurchase Agreement	30 days	\$1 billion	\$500 million/ dealer
K. Reverse Repurchase Agreement	1 year	\$500 million	\$250 million/ broker
L. Forwards, Futures and Options	90 days	\$100 million	\$50 million/ counterparty
M. Interest-Rate Swaps in conjunction with approved bond sales with high credit rating categories	None	None	None
N. Securities Lending Agreement	180 days	20% of base portfolio value (combined total value of reverse repurchase agreements and securities lending)	None
O. Supranationals in accordance with Gov. Code 53601(q)	5 years	30% of PSI portfolio	with credit rating limits

Interest rate risk is the risk involved with fluctuations of interest rates that may adversely affect the fair value of the investments. The County's investment guidelines target the weighted average maturity of its portfolio to a range between 1.0 and 4.0 years. As of June 30, 2025, 69.87% of District funds in the County PSI Fund does not exceed one year. The weighted Average Days to Maturity of its portfolio was 556 days. In addition, variable-rate notes that comprised 0.05% of the County PSI Fund and other investments portfolio are tied to periodic coupon resets eliminating interest-rate risk by repricing back to par value at each reset date.

Credit risk means the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment, as measured by assignment of a rating by a nationally recognized statistical rating organization. This County's investment guidelines establish minimum acceptable credit ratings issued by any three nationally recognized statistical rating organizations. For short-term and long-term debt issuers, the rating must be no less than A-1/A from Standard & Poor's (S&P), P-1/A from Moody's Investors Service (Moody's), or F-1/A from Fitch Ratings (Fitch). The Local Agency Investment Fund is not rated.

Concentration of credit risk means the risk of loss attributed to the magnitude of an investment in a single issuer. For District funds in the County pool, the County's investment policy has concentration limits that provide sufficient diversification. As of June 30, 2025, the County did not exceed these limitations.

LOS ANGELES UNIFIED SCHOOL DISTRICT

Notes to Financial Statements

Year Ended June 30, 2025

Custodial credit risk for deposits is the risk that in the event of failure of a depository financial institution, the District will not be able to recover its deposits or will not be able to recover collateral securities that are in the possession of an outside party. Cash in the county treasury is not exposed to custodial credit risk since all county deposits are either covered by federal depository insurance or collateralized with securities held by the County. Deposits other than those with the County are also covered by federal depository insurance or collateralized at the rate of 110% of the deposits, although the collateral may not be held specifically in the District's name.

(3) Long Term Obligations

The General Obligation (GO) Bonds outstanding balance as of June 30, 2025, consists of the following (in thousands):

Bond Issue	Sale Date	Original Principal Amount	Outstanding June 30, 2025	Interest Rates to Maturity		Final Maturity
				Min	Max	
Election of 2005, H (2009)	10/15/2009	\$ 318,800	\$ 318,800 ^(a)	1.540%	1.540%	2025
Election of 2005, J-1 (2010) ^(b)	5/6/2010	190,195	190,195 ^(a)	5.981	5.981	2027
Election of 2005, J-2 (2010) ^(b)	5/6/2010	100,000	100,000 ^(a)	5.720	5.720	2027
2015A Refunding	5/28/2015	326,045	15,940	5.000	5.000	2025
Election of 2008, A (2016)	4/5/2016	648,955	111,145	3.500	4.000	2040
2016A Refunding	4/5/2016	577,400	70,575	5.000	5.000	2026
2016B Refunding	9/15/2016	500,855	498,240	2.000	5.000	2032
2017A Refunding	5/25/2017	1,080,830	508,180	4.000	5.000	2027
Election of 2005, Series M-1 (2018)	3/8/2018	117,005	98,345	3.000	5.250	2042
Election of 2008, Series B-1 (2018)	3/8/2018	1,085,440	918,175	4.000	5.250	2042
2019A Refunding	5/29/2019	594,605	419,240	3.000	5.000	2034
Series RYQ (2020)	4/30/2020	942,940	721,930	4.000	5.000	2044
2020A Refunding	10/6/2020	302,000	275,230	3.000	5.000	2033
Measure Q, Series C (2020)	11/10/2020	1,057,060	822,255	3.000	5.000	2045
2021A Refunding	4/29/2021	196,310	144,260	4.000	5.000	2032
Series RYRR (2021)	11/10/2021	494,140	403,450	2.625	5.000	2046
2021B Refunding	11/10/2021	48,855	47,015	1.245	1.888	2028
Series QRR (2022)	11/22/2022	500,000	424,270	5.000	5.250	2047
Series QRR (2023)	11/7/2023	850,000	782,955	5.000	5.250	2048
2024A Refunding	4/30/2024	2,974,945	2,932,155	5.000	5.000	2034
Series QRR (2024)	10/8/2024	1,100,000	994,705	4.000	5.250	2049
Election of 2024, US Series A-2 (2025)	5/13/2025	29,645	29,645	4.532	4.532	2025
Election of 2024, US Series A-1 (2025)	5/13/2025	430,780	430,780	5.000	5.000	2049
Election of 2024, US Series B (2025)	5/13/2025	239,575	239,575	4.382	4.432	2028
2025A Refunding	5/13/2025	248,345	248,345	5.000	5.000	2040
			<u>\$ 11,745,405*</u>			

* The total amount shown above excludes unamortized premium and discount of \$953.4 million

(a) Includes accumulated set-aside deposits for Qualified School Construction Bonds totaling \$461.24 million representing \$260.56 million for Election of 2005, H (2009) (Tax Credit Bonds) and \$200.68 million for Election of 2005, J-1 and J-2 (2010) (Federally Taxable Direct Subsidy Bonds)

(b) Issues as qualified school construction bonds, a taxable bond program in which federal government initially subsidized interest as if such bonds bore interest at the applicable federal rate for such bonds of 5.72% per annum.

LOS ANGELES UNIFIED SCHOOL DISTRICT

Notes to Financial Statements

Year Ended June 30, 2025

The breakdown of the outstanding General Obligation Bonds by Proposition and Measure are:

Bond Issue	BB	K	R	Y	Q	RR	US	Total
Election of 2005, H (2009)	\$ -	\$ -	\$ -	\$ 318,800	\$ -	\$ -	\$ -	\$ 318,800
Election of 2005, J-1 (2010)	-	-	-	190,195	-	-	-	190,195
Election of 2005, J-2 (2010)	-	-	-	100,000	-	-	-	100,000
2015A Refunding	15,940	-	-	-	-	-	-	15,940
Election of 2008, A(2016)	-	-	-	-	111,145	-	-	111,145
2016A Refunding	53,950	-	8,300	8,325	-	-	-	70,575
2016B Refunding	-	224,920	176,455	96,865	-	-	-	498,240
2017A Refunding	50,230	457,950	-	-	-	-	-	508,180
Election of 2005, Series M-1 (2018)	-	-	-	98,345	-	-	-	98,345
Election of 2008, Series B-1 (2018)	-	-	-	-	918,175	-	-	918,175
2019A Refunding	-	109,760	243,585	65,895	-	-	-	419,240
Series RYQ (2020)	-	-	27,560	139,340	555,030	-	-	721,930
2020A Refunding	-	106,680	94,335	74,215	-	-	-	275,230
Measure Q, Series C (2020)	-	-	-	-	822,255	-	-	822,255
2021A Refunding	-	-	-	-	144,260	-	-	144,260
Series RYRR (2021)	-	-	101,235	57,275	-	244,940	-	403,450
2021B Refunding	-	47,015	-	-	-	-	-	47,015
Series QRR (2022)	-	-	-	-	94,775	329,495	-	424,270
Series QRR (2023)	-	-	-	-	476,315	306,640	-	782,955
2024A Refunding	-	191,190	1,224,780	1,516,185	-	-	-	2,932,155
Series QRR (2024)	-	-	-	-	474,745	519,960	-	994,705
Election of 2024, US Series A-2 (2025)	-	-	-	-	-	-	29,645	29,645
Election of 2024, US Series A-1 (2025)	-	-	-	-	-	-	430,780	430,780
Election of 2024, US Series B (2025)	-	-	-	-	-	-	239,575	239,575
2025A Refunding	-	-	20,035	33,485	194,825	-	-	248,345
Totals	\$120,120	\$1,137,515	\$1,896,285	\$2,698,925	\$3,791,525	\$1,401,035	\$700,000	\$11,745,405

(4) Debt Liquidation

Payments on the General Obligation Bonds are made through the District's debt service funds.

(5) Risk Management

The District is exposed to various risks of loss related to torts; theft of, damage to, or destruction of assets; errors or omissions; job-related illness or injury to employees; and natural disasters. Excess insurance has been purchased for physical property loss damages, which provides \$500 million limit above a \$25 million self-insured retention (SIR) effective July 1st, 2025. Commercial excess insurance has been purchased for the Sexual Molestation Liability (SML) line of coverage. The District implemented an Owner Controlled Insurance Program (OCIP) covering new construction, renovations and modernizations. Under the OCIP, the District provides general liability, workers' compensation, pollution, and excess liability. The General Liability has an SIR of \$0.5 million and limit of \$2 million. Workers' Compensation has an SIR of \$0.5 million and limit of \$1 million. The Excess Liability program is underwritten by eight major carriers offering up to \$75 million. Additionally, six different carriers provide coverage for special bonded projects with limits based on the value of the project. These policies have an SIR of up to \$50,000.

Pollution liability insurance coverage has been procured for the construction program. The policy protects contractors and the District from losses resulting from pollution liability-related incidents occurring during construction. The policy provides optional coverage to ensure that site cleanup cost overruns are not borne by the District. The limits of coverage on the cleanup cost-cap policy are variable by specific project.

LOS ANGELES UNIFIED SCHOOL DISTRICT

Notes to Financial Statements

Year Ended June 30, 2025

(6) Interfund Transfers

These consist of borrowings between funds to cover temporary cash insufficiencies and permit payment of obligations. Interfund receivables and payables at June 30, 2025, are as follows (in thousands):

From	To	Purpose	Transfer In	Transfer (Out)
General Fund	Building Fund – Measure Q	Reimbursement of capital expenditures	\$ 97	\$ -
General Fund	Building Fund – Measure RR	Reimbursement of capital expenditures	54	-
Building Fund – Measure R	Building Fund – Measure Q	Reimbursement of capital expenditures	521	(521)
Building Fund – Measure K	Building Fund – Measure Q	Reimbursement of capital expenditures	1,550	(1,550)
Building Fund – Measure K	Building Fund – Measure RR	Reimbursement of capital expenditures	187	(187)
Building Fund – Measure Y	Building Fund – Measure Q	Reimbursement of capital expenditures	6,412	(6,412)
Building Fund – Measure Y	Building Fund – Measure RR	Reimbursement of capital expenditures	44	(44)
Building Fund – Measure Q	General Fund	Reimbursement of capital expenditures	-	(72)
Building Fund – Measure Q	Adult Fund	Reimbursement of capital expenditures	-	(8)
Building Fund – Measure Q	Building Fund – Measure RR	Reimbursement of capital expenditures	5,050	(5,050)
Building Fund – Measure Q	County School Facilities – Prop 47	Reimbursement of capital expenditures	-	(1)
Building Fund – Measure Q	Special Reserve Fund	Reimbursement of capital expenditures	-	(2,000)
Building Fund – Measure RR	General Fund	Reimbursement of capital expenditures	-	(56)
Building Fund – Measure RR	Building Fund – Measure R	Reimbursement of capital expenditures	83	(83)
Building Fund – Measure RR	Building Fund – Measure Q	Reimbursement of capital expenditures	553	(553)
Building Fund – Measure US	Special Reserve Fund	Reimbursement of capital expenditures	-	(238,932)
County School Facilities – Prop 47	Building Fund – Measure K	Reimbursement of capital expenditures	20	-
County School Facilities – Prop 47	Building Fund – Measure Q	Reimbursement of capital expenditures	91,319	-
County School Facilities – Prop 47	Building Fund – Measure RR	Reimbursement of capital expenditures	21,261	-
Special Reserve Fund	Building Fund – Measure R	Reimbursement of capital expenditures	1,605	-
Special Reserve Fund	Building Fund – Measure K	Reimbursement of capital expenditures	1,025	-
Special Reserve Fund	Building Fund – Measure Q	Reimbursement of capital expenditures	24	-
Special Reserve Fund	Building Fund – Measure RR	Reimbursement of capital expenditures	59	-
	Total		\$ 129,864	\$ (255,469)

(7) Fund Equity

The following is a summary of fund balances at June 30, 2025 (in thousands):

	Measure K	Measure R	Measure Y	Measure Q	Measure RR	Measure US
Nonspendable						
Revolving cash and imprest funds	\$ -	\$ -	\$ 495	\$ 1	\$ -	\$ -
Prepays	23	-	-	-	-	-
Total nonspendable balances	\$ 23	\$ -	\$ 495	\$ 1	\$ -	\$ -
Restricted for						
District bonds	33,865	63,629	56,916	265,737	795,496	450,000
Total fund balances	\$ 33,888	\$ 63,629	\$ 57,411	\$ 265,738	\$ 795,496	\$ 450,000

Nonspendable fund balances represent amounts that cannot be spent either because they are in nonspendable form or because they are legally or contractually required to be maintained intact.

Restricted fund balances represent amounts that can be spent only for specific purposes because of constitutional provisions or enabling legislation or because of constraints that are externally imposed by creditors, grantors, contributors, or the laws or regulations of other governments.

LOS ANGELES UNIFIED SCHOOL DISTRICT

Notes to Financial Statements

Year Ended June 30, 2025

(8) Contingencies and Commitments

(a) General

The District, as well as current and former Board Members and employees to whom the District has defense and indemnification responsibilities under the Government Code, has been named as defendants in numerous lawsuits, administrative proceedings and arbitrations. These seek, among other things, to require the District to reinstate terminated, demoted, suspended, and laid-off employees, to remedy alleged noncompliance regarding special education schools, and to change existing instructional programs, pupil integration methods, and employment and administration procedures. In many proceedings, monetary damages are sought including, for example, claims for retroactive pay and benefits and future pay and benefits. Based on the opinion of counsel, management believes that the ultimate outcome of such lawsuits will not have a material effect on the District's financial condition.

(b) Construction Contracts

The District has entered into various contracts for the construction of facilities throughout the campuses. During fiscal year 2024-25 the District entered into approximately 195 contracts with a combined value of \$720.7 million. The durations of the contracts range from 45 days to five years.

SUPPLEMENTARY INFORMATION

LOS ANGELES UNIFIED SCHOOL DISTRICT
DISTRICT BONDS FUND
Statement of Bond Expenditures
Year Ended June 30, 2025
(in thousands)
(unaudited)

Cost Category	Measure K	Measure R	Measure Y	Measure Q	Measure RR	Measure US	Total District Bond Funds
Facilities Services Division Capital Programs							
New Construction	\$ 3,947	\$ -	\$ 330	\$ -	\$ -	\$ -	\$ 4,277
School Modernization	10,487	1,520	7,195	626,155	321,712	314	967,383
Adult and Career Education	-	-	-	1,403	4,019	-	5,422
Early Childhood Education	8	2,705	2,172	10,532	13,405	-	28,822
Charter Schools	58	27	-	8,695	1,663	-	10,443
Indirect Costs	6,376	16	263	99,832	8,969	-	115,456
Total FSD Capital Programs	20,876	4,268	9,960	746,617	349,768	314	1,131,803
Information Technology Division Capital Programs							
Classroom Technology Modernization	-	-	-	24,944	1,962	-	26,906
School Network Modernization	-	7	-	-	-	-	7
Safety, Communications and Security Modernization	-	209	5,989	10,781	108,124	-	125,103
Total ITD Capital Programs	-	216	5,989	35,725	110,086	-	152,016
Other Costs							
Cost of Issuance	-	-	-	1,404	1,538	2,125	5,067
Office of Bond Compliance	-	279	673	630	-	-	1,582
Office of Inspector General	-	-	-	3,451	-	-	3,451
COPs Defeasance	-	-	-	-	-	238,932	238,932
Total Other Costs	-	279	673	5,485	1,538	241,057	249,032
Total Expenditures	\$ 20,876	\$ 4,763	\$ 16,622	\$ 787,827	\$ 461,392	\$ 241,371	\$ 1,532,851

LOS ANGELES UNIFIED SCHOOL DISTRICT

Notes to Statement of Bond Expenditures

Year Ended June 30, 2025

(unaudited)

(1) Basis of Presentation

The accompanying unaudited statement of bond expenditures has been prepared in conformity with U.S. generally accepted accounting principles. The accompanying statement of bond expenditures reflects the flow of current financial resources measurement focus and is presented on the modified accrual basis of accounting.

The Proposition 39, Smaller Classes, Safer Schools and Financial Accountability Act, requires an annual, independent financial audit of the expenditures of proceeds from the sale of the school facilities bonds until all the proceeds have been expended. Accordingly, the statement of bond expenditures includes all amounts expended using bond proceeds regardless of expenditure types.

(a) Actual Expenditures Incurred

The amounts included within the accompanying statement of bond expenditures represent expenditures paid or accrued by the District for the year ended June 30, 2025, adjusted by discounts received from the vendors. The expenditure amounts include expenditures of bond proceeds, reimbursements of bond proceeds, and interest earned.

(b) Cost Category

The major cost categories represent bond programs funded by the bond. The cost category “Indirect costs” refers to all expenditures that cannot be reasonably attributed to individual projects.

An example of “Indirect Costs” is program management. Program management includes program-level support costs for staff members of the Facilities Executive Office and Facilities Services Division (FSD) branches as well as costs of other support staff such as the Office of the General Counsel, Inspector General, Accounts Payable, and Risk Management.

OTHER INFORMATION

**LOS ANGELES UNIFIED SCHOOL DISTRICT
DISTRICT BOND FUNDS**

Supplementary Schedule of Sources and Uses of Funds and Fund Balance
Period from Inception through June 30, 2025
(in thousands)
(unaudited)

	Measure K	Measure R	Measure Y	Measure Q	Measure RR	Measure US	Total District Bond Funds
Voter Approved Bond Authorization	\$ 3,350,000	\$ 3,870,000	\$ 3,985,000	\$ 7,000,000	\$ 7,000,000	\$ 9,000,000	\$ 34,205,000
Date of Election	11/5/2002	3/2/2004	11/8/2005	11/4/2008	11/3/2020	11/5/2024	
Sources of funds							
Bonds issued	\$ 3,350,000	\$ 3,870,000	\$ 3,985,000	\$ 4,800,955	\$ 1,600,000	\$ 700,000	\$ 18,305,955
Adjustments - bond premium and cost of issuance/underwriter's discount	4,370	8,635	5,948	-	-	-	18,953
Interest income	166,306	161,644	112,309	121,882	79,988	2,759	644,888
Federal income	-	1,752	-	-	-	-	1,752
Local income	461	43,747	37,753	(1,918)	(22,170)	(11,388)	46,485
Other financing sources -							
PY Proceeds from Capital Leases	9	-	-	-	-	-	9
Other financing sources -							
CY Proceeds from Capital Leases	-	-	-	-	497	-	497
Other financing sources - transfers in	808,162	1,019,819	539,085	1,235,451	26,702	-	3,629,219
Total sources of funds	<u>4,329,308</u>	<u>5,105,597</u>	<u>4,680,095</u>	<u>6,156,370</u>	<u>1,685,017</u>	<u>691,371</u>	<u>22,647,758</u>
Uses of funds							
Facilities Services Division Capital Programs	4,108,029	4,300,895	3,955,100	5,435,214	670,375	314	18,469,927
Information Technology Division Capital Programs	128,754	497,925	201,131	340,042	196,072	0	1,363,924
Library Services	37,949	51,402	3,934	-	-	-	93,285
Transportation (Buses)	-	-	24,319	-	-	-	24,319
Other costs	20,688	35,387	54,711	51,607	12,788	241,057	416,238
Other financing uses - transfers out	-	156,359	383,489	63,769	10,286	-	613,903
Total uses of funds	<u>4,295,420</u>	<u>5,041,968</u>	<u>4,622,684</u>	<u>5,890,632</u>	<u>889,521</u>	<u>241,371</u>	<u>20,981,596</u>
Fund balance, June 30, 2025	<u>\$ 33,888</u>	<u>\$ 63,629</u>	<u>\$ 57,411</u>	<u>\$ 265,738</u>	<u>\$ 795,496</u>	<u>\$ 450,000</u>	<u>\$ 1,666,162</u>

See accompanying notes to statement of bond expenditures.

LOS ANGELES UNIFIED SCHOOL DISTRICT

Notes to Supplementary Schedule of Sources and Uses of Funds and Fund Balance Period from Inception through June 30, 2025 (unaudited)

(1) Basis of Presentation

The accompanying unaudited supplementary schedule of sources and uses of funds and fund balance has been prepared in conformity with U.S. generally accepted accounting principles. The accompanying unaudited supplementary schedule of sources and uses of funds and fund balance reflects the flow of current financial resources measurement focus and is presented on the modified accrual basis of accounting. Prop 39 requires an annual, independent audit of the expenditures of proceeds from the sale of school facilities bonds until all the proceeds have been expended. Accordingly, the unaudited supplementary schedule of sources and uses of funds and fund balance includes all amounts received and expended using bond proceeds, regardless of expenditure types, from voter approval.

(a) Sources of Funds

The amounts included under sources of funds include all funds received from various sources, including bonds issued, interest income, local sources, and transfers from other funds since voter approval.

(b) Uses of Funds

The amounts included under uses of funds represent actual expenditures paid or accrued by the District for the period from voter approval through June 30, 2025, adjusted by discounts received from the vendors. The major cost categories represent bond programs funded by the bond.

Other financing uses – transfers out represent financial accounting transfers of bond proceeds (inter-fund transactions of revenue) from the bond fund to other funds for approved financing uses of bond funds. One example is reimbursement of prior year bond eligible capital expenditures in the general fund. For cost accounting purposes, when project tracking is required, transfers are represented as project expenditures in the bond fund.

(c) Fund Balance

The amounts included as Fund Balance represent the difference between the sources and uses of funds from inception through June 30, 2025.

LOS ANGELES UNIFIED SCHOOL DISTRICT
MEASURE K SCHOOL BOND CONSTRUCTION PROGRAM
Supplementary Schedule of Bond Expenditures
Period from November 5, 2002 (Inception) through June 30, 2025
(in thousands)
(unaudited)

Cost Category	Adjusted Budget	Actual Expenditures Incurred			Unexpended Balance
		November 5, 2002 (Inception) through June 30, 2024	Expenditures Year Ended June 30, 2025	Total Expenditures through June 30, 2025	
Facilities Services Division Capital Programs					
New Construction	\$ 2,916,810	\$ 2,881,359	\$ 3,947	\$ 2,885,306	\$ 31,504
School Modernization	914,627	904,139	10,487	914,626	1
Adult and Career Education	-	-	-	-	-
Early Childhood Education	80,000	77,888	8	77,896	2,104
Charter Schools	53,500	53,334	58	53,392	108
Indirect Costs	176,809	170,433	6,376	176,809	-
Total FSD Capital Programs	4,141,746	4,087,153	20,876	4,108,029	33,717
Information Technology Division Capital Programs					
Virtual Learning Complex Planning	1,910	1,891		1,891	19
School Network Modernization	120,853	120,835		120,835	18
Safety, Communications and Security Modernization	6,111	6,028		6,028	83
Total ITD Capital Programs	128,874	128,754	-	128,754	120
Library Services	38,000	37,949		37,949	51
Other Costs					
Employee Benefits and Other Post-Employment Benefits (OPEB)	3,780	3,780		3,780	-
Cost of Issuance	5,658	5,658		5,658	-
Office of Bond Compliance				-	-
Office of Inspector General	11,250	11,250		11,250	-
Total Other Costs	20,688	20,688	-	20,688	-
Total Bond Expenditures and Other Financing Uses	<u>\$ 4,329,308</u>	<u>\$ 4,274,544</u>	<u>\$ 20,876</u>	<u>\$ 4,295,420</u>	<u>\$ 33,888</u>

LOS ANGELES UNIFIED SCHOOL DISTRICT
MEASURE R SCHOOL BOND CONSTRUCTION PROGRAM
Supplementary Schedule of Bond Expenditures
Period from March 2, 2004 (Inception) through June 30, 2025
(in thousands)
(unaudited)

Cost Category	Adjusted Budget	Actual Expenditures Incurred			Unexpended Balance
		March 2, 2004 (Inception) through June 30, 2024	Expenditures Year Ended June 30, 2025	Total Expenditures through June 30, 2025	
Facilities Services Division Capital Programs					
New Construction	\$ 1,818,855	\$ 1,809,053	\$ -	\$ 1,809,053	\$ 9,802
School Modernization	2,114,814	2,071,387	1,520	2,072,907	41,907
Information Technology Network Upgrade	303	302	-	302	1
Adult and Career Education	25,000	24,669	-	24,669	331
Early Childhood Education	94,196	89,174	2,705	91,879	2,317
Charter Schools	71,885	69,843	27	69,870	2,015
Indirect Costs	232,215	232,199	16	232,215	-
Total FSD Capital Programs	4,357,268	4,296,627	4,268	4,300,895	56,373
Information Technology Division Capital Programs					
Classroom Technology Modernization	154,180	152,052	-	152,052	2,128
School Network Modernization	256,609	254,582	7	254,589	2,020
Safety, Communications and Security Modernization	15,210	13,526	209	13,735	1,475
My Integrated Student Information System	53,966	53,966	-	53,966	-
Disaster Recovery & Business Continuity	21,535	21,535	-	21,535	-
Enterprise Software Systems	2,078	2,048	-	2,048	30
Total ITD Capital Programs	503,578	497,709	216	497,925	5,653
Library Services	53,000	51,402	-	51,402	1,598
Other Costs					
Employee Benefits and Other Post-Employment Benefits (OPEB)	11,065	11,065	-	11,065	-
Cost of Issuance	13,886	13,886	-	13,886	-
Office of Bond Compliance	436	157	279	436	-
Office of Inspector General	10,000	10,000	-	10,000	-
Total Other Costs	35,387	35,108	279	35,387	-
Other Financing Uses					
COPs Defeasance: Transfers Out to Debt Service Fund	150,000	149,995	-	149,995	5
Reimbursements: Transfers Out to Special Reserve Fund	1,752	1,752	-	1,752	-
Information Technology Initiative Phase I Reimbursements: Transfers Out to Special Reserve Fund	4,612	4,612	-	4,612	-
Total Other Financing Uses	156,364	156,359	-	156,359	5
Total Bond Expenditures and Other Financing Uses	\$ 5,105,597	\$ 5,037,205	\$ 4,763	\$ 5,041,968	\$ 63,629

See accompanying notes to unaudited supplementary schedule of bond expenditures.

LOS ANGELES UNIFIED SCHOOL DISTRICT
MEASURE Y SCHOOL BOND CONSTRUCTION PROGRAM
Supplementary Schedule of Bond Expenditures
Period from November 8, 2005 (Inception) through June 30, 2025
(in thousands)
(unaudited)

Cost Category	Adjusted Budget	Actual Expenditures Incurred			Unexpended Balance
		November 8, 2005 (Inception) through June 30, 2024	Expenditures Year Ended June 30, 2025	Total Expenditures through June 30, 2025	
Facilities Services Division Capital Programs					
New Construction	\$ 2,385,675	\$ 2,350,052	\$ 330	\$ 2,350,382	\$ 35,293
School Modernization	1,215,428	1,195,887	7,195	1,203,082	12,346
Information Technology Network Upgrade	165,294	164,029	-	164,029	1,265
Adult and Career Education	70,486	68,477	-	68,477	2,009
Early Childhood Education	38,852	36,680	2,172	38,852	-
Charter Schools	50,000	48,177	-	48,177	1,823
Indirect Costs	82,101	81,838	263	82,101	-
Total FSD Capital Programs	4,007,836	3,945,140	9,960	3,955,100	52,736
Information Technology Division Capital Programs					
Virtual Learning Complex Planning	2,030	1,879	-	1,879	151
Classroom Technology Modernization	20,558	20,489	-	20,489	69
School Network Modernization	128,692	128,408	-	128,408	284
Safety, Communications and Security Modernization	44,317	36,111	5,989	42,100	2,217
Enterprise Software Systems	8,462	8,255	-	8,255	207
Total ITD Capital Programs	204,059	195,142	5,989	201,131	2,928
Transportation	25,000	24,319	-	24,319	681
Library Services	5,000	3,934	-	3,934	1,066
Other Costs					
Employee Benefits and Other Post-Employment Benefits (OPEB)	25,281	25,281	-	25,281	-
Cost of Issuance	9,601	9,601	-	9,601	-
Office of Bond Compliance	2,829	2,156	673	2,829	-
Office of Inspector General	17,000	17,000	-	17,000	-
Total Other Costs	54,711	54,038	673	54,711	-
Other Financing Uses					
COPs Defeasance: Transfers Out to Debt Service Fund	193,738	193,738	-	193,738	-
COPS Defeasance Cafeteria: Transfers Out to Special Reserve Fund Capital Outlay	20,554	20,554	-	20,554	-
COPS Defeasance ISIS: Transfers Out to Special Reserve Fund Capital Outlay	12,664	12,664	-	12,664	-
CIPR Cafeteria: Transfers Out to Cafeteria Fund	5,000	5,000	-	5,000	-
Buses: Transfers Out to General Fund	3,461	3,461	-	3,461	-
CIPR Integrated Student Information Systems (ISIS): Transfers Out to General Fund Restricted	26,400	26,400	-	26,400	-
Deferred Maintenance Match: Transfers Out to General Fund Restricted	120,000	120,000	-	120,000	-
Transfers Out to General Fund	1,672	1,672	-	1,672	-
Total Other Financing Uses	383,489	383,489	-	383,489	-
Total Bond Expenditures and Other Financing Uses	\$ 4,680,095	\$ 4,606,062	\$ 16,622	\$ 4,622,684	\$ 57,411

See accompanying notes to unaudited supplementary schedule of bond expenditures.

LOS ANGELES UNIFIED SCHOOL DISTRICT
MEASURE Q SCHOOL BOND CONSTRUCTION PROGRAM
 Supplementary Schedule of Bond Expenditures
 Period from November 4, 2008 (Inception) through June 30, 2025
 (in thousands)
 (unaudited)

Cost Category	Adjusted Budget	Actual Expenditures Incurred			Unexpended Balance
		November 4, 2008 (Inception) through June 30, 2024	Expenditures Year Ended June 30, 2025	Total Expenditures through June 30, 2025	
Facilities Services Division Capital Programs					
New Construction	\$ 155,704	\$ 15,178	\$ -	15,178	\$ 140,526
School Modernization	4,451,061	3,824,906	626,155	4,451,061	-
Adult and Career Education	23,999	22,596	1,403	23,999	-
Early Childhood Education	59,806	49,274	10,532	59,806	-
Charter Schools	143,569	134,874	8,695	143,569	-
Indirect Costs	741,601	641,769	99,832	741,601	-
Total FSD Capital Programs	5,575,740	4,688,597	746,617	5,435,214	140,526
Information Technology Division Capital Programs					
Classroom Technology Modernization	49,765	14,821	24,944	39,765	10,000
School Network Modernization	63,290	18,576	-	18,576	44,714
Safety, Communications and Security Modernization	98,945	47,103	10,781	57,884	41,061
My Integrated Student Information System	119,971	119,633	-	119,633	338
Cafeteria Management System (CMS) - Point of Sale (POS) Technology Upgrade	6,300	5,773	-	5,773	527
Disaster Recovery & Business Continuity	54,235	54,182	-	54,182	53
Enterprise Software Systems	64,004	44,229	-	44,229	19,775
Total ITD Capital Programs	456,510	304,317	35,725	340,042	116,468
Other Costs					
Cost of Issuance	5,736	4,332	1,404	5,736	-
Office of Chief Financial Officer	12,740	3,996	-	3,996	8,744
Office of Bond Compliance	5,189	4,559	630	5,189	-
Office of Inspector General	36,686	33,235	3,451	36,686	-
Total Other Costs	60,351	46,122	5,485	51,607	8,744
Other Financing Uses					
School Upgrade Program (SUP) Transfers Out to Cafeteria Fund - Upgrade Food Services Kitchen Equipment	483	483	-	483	-
Transfers Out to General Fund - Transportation (Buses)	33,286	33,286	-	33,286	-
Transfers Out to General Fund - Routine Restricted General Maintenance (RRGM)	30,000	30,000	-	30,000	-
Total Other Financing Uses	63,769	63,769	-	63,769	-
Total Bond Expenditures and Other Financing Uses					
	\$ 6,156,370	\$ 5,102,805	\$ 787,827	\$ 5,890,632	\$ 265,738

See accompanying notes to unaudited supplementary schedule of bond expenditures.

LOS ANGELES UNIFIED SCHOOL DISTRICT
MEASURE RR SCHOOL BOND CONSTRUCTION PROGRAM
 Supplementary Schedule of Bond Expenditures
 Period from November 3, 2020 (Inception) through June 30, 2025
 (in thousands)
 (unaudited)

Cost Category	Adjusted Budget	Actual Expenditures Incurred			Unexpended Balance
		November 3, 2020 (Inception) through June 30, 2024	Expenditures Year Ended June 30, 2025	Total Expenditures through June 30, 2025	
Facilities Services Division Capital Programs					
New Construction	\$ 112	\$ 112	\$ -	\$ 112	\$ -
School Modernization	1,320,719	283,511	321,712	605,223	715,496
Adult and Career Education	4,132	113	4,019	4,132	-
Early Childhood Education	17,709	4,304	13,405	17,709	-
Charter Schools	3,936	2,273	1,663	3,936	-
Indirect Costs	39,263	30,294	8,969	39,263	-
Total FSD Capital Programs	1,385,871	320,607	349,768	670,375	715,496
Information Technology Division Capital Programs					
Classroom Technology Modernization	11,963	1	1,962	1,963	10,000
Safety, Communications and Security Modernization	264,109	85,985	108,124	194,109	70,000
Total ITD Capital Programs	276,072	85,986	110,086	196,072	80,000
Other Costs					
Cost of Issuance	12,788	11,250	1,538	12,788	-
Total Other Costs	12,788	11,250	1,538	12,788	-
Other Financing Uses					
Transfers Out to General Fund -					
Transportation (Buses)	10,286	10,286	-	10,286	-
Total Other Financing Uses	10,286	10,286	-	10,286	-
Total Bond Expenditures and Other Financing Uses	\$ 1,685,017	\$ 428,129	\$ 461,392	\$ 889,521	\$ 795,496

See accompanying notes to unaudited supplementary schedule of bond expenditures.

LOS ANGELES UNIFIED SCHOOL DISTRICT
MEASURE US SCHOOL BOND CONSTRUCTION PROGRAM
 Supplementary Schedule of Bond Expenditures
 Period from November 5, 2024 (Inception) through June 30, 2025
 (in thousands)
 (unaudited)

Cost Category	Adjusted Budget	Actual Expenditures Incurred		Total Expenditure through June 30, 2025	Unexpended Balance
		November 5, 2024 (Inception)	Expenditures Year Ended June 30, 2025		
Facilities Services Division Capital Programs					
School Modernization	\$ 450,314	\$ -	\$ 314	\$ 314	\$ 450,000
Total FSD Capital Programs	450,314	-	314	314	450,000
Other Costs					
Cost of Issuance	2,125	-	2,125	2,125	-
COPs Defeasance	238,932	-	238,932	238,932	-
Total Other Costs	241,057	-	241,057	241,057	-
Total Bond Expenditures and Other Financing Uses	\$ 691,371	\$ -	\$ 241,371	\$ 241,371	\$ 450,000

See accompanying notes to unaudited supplementary schedule of bond expenditures.

LOS ANGELES UNIFIED SCHOOL DISTRICT
Notes to Supplementary Schedule of Bond Expenditures
Period from Inception to June 30, 2025
(Unaudited)

(1) Basis of Presentation

The accompanying unaudited supplementary schedule of bond expenditures has been prepared in conformity with U.S. generally accepted accounting principles. The accompanying unaudited supplementary schedule of bond expenditures reflects the flow of current financial resources measurement focus and is presented on the modified accrual basis of accounting. Prop 39 requires an annual, independent audit of the current year expenditures until all the proceeds have been expended. Accordingly, the unaudited supplementary schedule of bond expenditures includes all amounts expended using bond proceeds, regardless of expenditure types, from inception.

(a) Adjusted Budget

The amounts included within the adjusted budget column represent the prior year expenditures from inception through June 30, 2024, and fiscal year 2024-25 budget authority requested from the Board of Education for costs that are expected to be expended and/or obligated to complete the various projects.

(b) Actual Expenditures Incurred

The amounts included within the actual expenditures incurred columns represent actual expenditures paid or accrued by the District for the period from inception through June 30, 2025, adjusted by discounts received from the vendors. The expenditure amounts included expenditures of bond proceeds, reimbursements of bond proceeds, and interest earned.

(c) Unexpended Balance

The amounts included within the fund balance column in the accompanying supplementary schedule of bond expenditures represent the difference between the adjusted budget column and the total expenditures through June 30, 2025, column.

(d) Cost Category

The major cost categories represent bond programs funded by the bond. The cost category “Indirect costs” refers to all expenditures that cannot be reasonably attributed to individual projects.

An example of “Indirect costs” is program management. Program management includes program-level support costs for staff members of the Facilities Executive Office and Facilities Services Division (FSD) branches as well as costs of other support staff such as the Office of the General Counsel, Accounts Payable, and Risk Management

(2) Other Financing Uses

Other financing uses – transfer out represent transfers of bond proceeds (inter-fund transactions of revenue) from the bond fund to other funds for approved financing uses of bond funds. One example is reimbursement of prior year bond eligible capital expenditures in the general fund. For cost accounting purposes, when project tracking is required, transfers are represented as project expenditures in the bond fund.

INDEPENDENT AUDITOR'S REPORT



SIMPSON & SIMPSON
CERTIFIED PUBLIC ACCOUNTANTS

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Independent Auditor's Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with *Government Auditing Standards*

The Honorable Board of Education and
School Construction Bond Citizens' Oversight Committee
Los Angeles Unified School District

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the Los Angeles Unified School District's (the District), **District Bond Funds (Measure K, Measure R, Measure Y, Measure Q, Measure RR, and Measure US General Obligation Bonds)** as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the District's financial statements and have issued our report thereon dated April 24, 2026.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements, on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.



Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

A handwritten signature in cursive script that reads "Simpson & Simpson".

Los Angeles, California
April 24, 2026

**LOS ANGELES UNIFIED SCHOOL DISTRICT
DISTRICT BOND FUNDS
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2025**

No matters were reported.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
DISTRICT BOND FUNDS
Schedule of Prior Year Findings and Recommendations
For the Year Ended June 30, 2025**

No matters were reported.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE US
PERFORMANCE AUDIT
JUNE 30, 2025**



**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE US
PERFORMANCE AUDIT
June 30, 2025**

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Independent Auditor's Report

The Honorable Board of Education and
School Construction Bond Citizens' Oversight Committee
Los Angeles Unified School District

We have conducted a performance audit of the Los Angeles Unified School District's (the District), **Measure US School Bond Construction Program** for the year ended June 30, 2025.

We conducted this performance audit in accordance with *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain sufficient, appropriate evidence to provide a reasonable basis for our findings and conclusions based on our audit objectives. We believe that the evidence obtained provides a reasonable basis for our findings and conclusions based on our audit objectives.

Our audit was limited to the objectives listed on page 5 of this report which includes determining the District's compliance with the performance requirements for the Proposition 39 Measure US General Obligation Bonds and outlined in Article XIII A, Section 1(b)(3)(C) of the California Constitution. Management is responsible for the District's compliance with those requirements.

In planning and performing our performance audit, we obtained an understanding of the District's internal control to determine if the internal controls were adequate to help ensure the District's compliance with the requirements of Proposition 39 and outlined in Article XIII A, Section 1(b)(3)(C) of the California Constitution, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

The results of our tests indicated that the District expended Measure US School Bond Construction Program funds only for the specific projects approved by the voters, in accordance with Proposition 39 and outlined in Article XIII A, Section 1(b)(3)(C) of the California Constitution.

Los Angeles, California
April 24, 2026

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE US
PERFORMANCE AUDIT
LEGISLATIVE HISTORY
June 30, 2025**

On November 7, 2000, California voters approved Proposition 39, the *Smaller Classes, Safer Schools and Financial Accountability Act*. Proposition 39 amended portions of the California Constitution to provide for the issuance of general obligation bonds by school districts, “for the construction, reconstruction, rehabilitation or replacement of school facilities, including the furnishing and equipping of school facilities, or the acquisition or lease of real property for school facilities”, upon approval by 55% of the electorate. Additional accountability measures, as stipulated in Education Code Section 15278 – 15282, and 15286, are as follows:

1. A requirement that the school district establish and appoint members to an independent citizens’ oversight committee.
2. A requirement that the proceeds from the sale of the bonds be used only for the purposes described in Article XIII A, Section 1(b)(3)(A) of the California Constitution and ensuring that no funds are used for any teacher or administrative salaries or other school operating expenses.
3. A requirement that the school district list the specific school facilities projects to be funded and certification that the school district board has evaluated safety, class size reduction, and information technology needs in developing that list.
4. A requirement that the school district conduct an annual independent performance audit, in accordance with Government Auditing Standards issued by the Comptroller General of the United States, required by Article XIII A, Section 1(b)(3)(C) of the California Constitution, ensuring that the funds have been expended only on the specific projects listed.
5. A requirement that the school district conduct an annual independent financial audit, in accordance with Government Auditing Standards issued by the Comptroller General of the United States, required by Article XIII A, Section 1(b)(3)(D) of the California Constitution, of the proceeds from the sale of the bonds until all of those proceeds have been expended for the school facilities projects.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE US
PERFORMANCE AUDIT
MEASURE US GENERAL OBLIGATION BONDS
June 30, 2025**

The Measure US School Bond Construction Program (Measure US), or the “Local Public Schools Upgrades and Safety Measure,” approved by the voters under California Proposition 39, known as the *Smaller Classes, Safer Schools and Financial Accountability Act* (Prop 39), is intended to provide the Los Angeles Unified School District (the District) funding to update school facilities for 21st century student learning and career/college preparedness; improve school facilities for safety, earthquakes, and disability access; upgrade plumbing, electrical, and HVAC systems; replace leaky roofs; provide learning technology; create green outdoor classrooms and schoolyards; enhance food service facilities; and promote energy efficiency and electrified infrastructure. Measure US authorizes the District to issue up to \$9 billion in general obligation bonds for the specific school facilities projects included in the Bond Project List.

The Board of Education (the Board) has established a School Construction Bond Citizens’ Oversight Committee (BOC) to ensure that the proceeds of Measure US bond issuances are used for the purposes stated in the Board Resolution and the Bond Project List that placed Measure US on the 2024 ballot.

The proceeds from Measure US are to be used for projects such as the following:

- Upgrade, acquire, and/or install communication and safety/security systems, networks, fixtures, infrastructure, and equipment, including fire alarm, fire/life safety, intrusion alarm, video surveillance, emergency communications, public address/telecommunications, and exterior lighting.
- Install and/or replace security gates, fencing, and master key/door lock and access control systems, fixtures, and equipment.
- Replace plumbing systems and/or fixtures to address lead, deterioration, and/or improve water quality.
- Retrofit, rehabilitate, reconstruct, and/or replace school buildings to improve earthquake safety.
- Furnish and equip school facilities with technology, including computing devices, smart boards, robotics equipment, audio/visual systems, network equipment, and broadband connectivity infrastructure.
- Upgrade, replace, acquire, and/or install technology infrastructure, systems, fixtures, hardware, and software, including network cabling, servers, firewalls, cloud systems, student information systems, and virtual learning technology.
- Modernize, renovate, replace, and/or upgrade school facilities including, but not limited to, classrooms, classroom buildings, career technical education facilities, maker spaces, labs, gymnasiums, theater/performing arts centers, multipurpose rooms, auditoriums, libraries, media centers, band and choir facilities, sensory rooms, restrooms, parent and family centers, common areas and grounds, storage areas, cafeterias/food services, lunch/shade shelters, school-based wellness clinics, office/school support facilities, whether permanent, portable or modular. Such projects include furnishings, equipment, infrastructure, fixtures, and signage.
- Replace, upgrade, and/or install major site, building, and utility systems and equipment including roofing, electrical, lighting, heating and cooling, air quality, plumbing, refrigeration, flooring, ceilings, sewer, gas, water, and energy management systems.
- Construct and/or upgrade clean, renewable, sustainable, and efficient energy and/or water systems, equipment, and features, including solar energy systems, battery storage, electric vehicle charging stations, and reclaimed water applications.
- Renovate, install, construct, upgrade, and/or replace school grounds, gardens, outdoor areas, outdoor structures, outdoor classrooms/learning areas, landscape, hardscape, permeable surfaces, irrigation, drainage, storm drain connections, and stormwater retention systems.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE US
PERFORMANCE AUDIT
MEASURE US GENERAL OBLIGATION BONDS
June 30, 2025**

The proceeds from the Measure US are to be used for projects such as the following (continued):

- Construct, upgrade, and/or expand pathways, paths of travel, paved areas, roads, sidewalks, pick-up/drop-off areas, and parking lots and related areas.
- Construct, reconstruct, rehabilitate, expand, and/or replace athletic, recreational, and/or sports facilities, including schoolyards, playgrounds, play fields, gymnasiums, stadiums, tracks, courts, pools, dugouts, batting cages, bleachers, press boxes, scoreboards, and locker rooms.
- Renovate, replace, and/or install lighting for athletic fields, play fields, tracks, courts, and stadiums.
- Rehabilitate closed schools, centers, and/or sites to be operational, and renovate/upgrade such schools, centers, and/or sites to meet health, safety, access, efficiency, and program needs.
- Acquire or replace school buses, including support for electrified infrastructure.
- Complete Americans with Disabilities Act (ADA) and other accessibility upgrades, renovations, and installations to remove physical barriers and enhance access to District programs and facilities.
- Furnish and equip school facilities with indoor and outdoor furniture, technology, and specialized equipment, including science lab equipment, career technical education equipment, food service equipment, and athletic equipment.
- Technology including, but not limited to, laptops, laptop carts, computers, tablets, devices, digital projectors, 3D printers, smart/interactive whiteboards/displays, UAV/UAS educational drones, cameras, document cameras, sound amplification devices, monitors, virtual reality equipment, ceiling mounted projectors, televisions, copiers, scanners, printers, microphones, audio systems, video systems, announcement displays, and digital marquees.
- Acquire, construct, furnish, and equip new schools, classrooms, classroom buildings, preschool facilities, adult and career technical education facilities, labs, gymnasiums, sports facilities, theater/performing arts centers, libraries, media centers, kitchens, wellness clinics, and office/support facilities.
- Renovate facilities for charter school use consistent with the District's responsibilities under Education Code Section 47614.
- Construct new and expand existing school-based wellness clinics.
- Modernize or construct kitchens, central cooking/manufacturing kitchens, regional kitchens, dining areas, central food preparation warehouse space, food serving lines, and cafeteria/dining facilities to support fresh meal preparation and improved student nutrition.

All projects to be funded under Measure US must be included in the Strategic Execution Plans (SEPs) approved by the Board. The District has established General Obligation Bond Charging Guidelines to outline the allowable expenditures for Measure US. Such guidelines specifically state that no funds will be spent for teacher, administrator salaries or for school operating expenses.

The Measure US initiative authorized the issuance of \$9.0 billion in bonds. \$0.7 billion has since been issued in May 2025. The bonds are included in the audited financial statements of the District.

The District tracks the financial activities related to Measure US in the District Bonds Fund. The District Bonds Fund is comprised of multiple funds in the District's Audited Comprehensive Financial Report (ACFR).

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE US
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

OBJECTIVES OF THE AUDIT

The following represents the objectives of our performance audit:

1. Bond Expenditures and Recordkeeping

Determine that the District expended Measure US funds for the year ended June 30, 2025, only for the purpose approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution.

The scope, methodology, and conclusions of the above objectives are enumerated on pages 6 through 9 of this report.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE US
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING

Objective

Determine that the District expended Measure US funds for the year ended June 30, 2025, only for the purpose approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution.

Scope

The scope covers the period from July 1, 2024, to June 30, 2025. The population of expenditures tested includes object codes and specific projects associated with Measure US.

A total of \$241.4 million in expenditures were identified for fiscal year ended June 30, 2025, which consists of the following (thousands):

Non-Payroll Expenditures:	
Books and supplies	\$ 11
Services and other operating expenditures	2,233
Capital outlay	<u>117</u>
<i>Total non-payroll expenditures</i>	<u>2,361</u>
Payroll Expenditures:	
Classified salaries	53
Employee benefits	<u>25</u>
<i>Total payroll expenditures</i>	<u>78</u>
Other Financing Uses:	
Transfers out	<u>238,932</u>
<i>Total other financing uses</i>	<u>238,932</u>
Total Measure US Expenditures per ACFR - District Bonds Fund	<u>\$ 241,371</u>

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE US
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING *(continued)*

a. Procedure Performed

We obtained a general ledger report prepared by the District detailing balances for all funds which made up the District Bonds Fund to reconcile the totals to the balances reported as of June 30, 2025, in the ACFR. We extracted from the general ledger report all activities pertaining to Measure US, Fund 217, as of June 30, 2025.

Conclusion

The results of our test indicated that all Measure US expenditure balances reconciled to the District Bonds Fund reported in the ACFR.

b. Procedures Performed

We selected a total of 22 individual invoices (sampled project expenditures) representing non-payroll expenditures amounting to \$2.14 million or 89.2% of the total population of non-payroll expenditures.

We obtained the original invoices and other relevant supporting documentation for expenditures sampled to determine compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and Measure US's approved specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments. We performed the following procedures:

- i. Determined that the sampled project expenditures were in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and were consistent with the work scope of Measure US's Resolution as presented to the voters and further defined by various Board approved SEPs and amendments.
- ii. Determined that the sampled project expenditures were not expended on school operating expenditures.
- iii. Verified that the appropriate District personnel had approved and reviewed all sampled project expenditures before payment was made.
- iv. Verified that corresponding projects or non-project allocations in each of the sampled project expenditures were included in the cumulative and various SEPs and amendments. For invoices which covered multiple projects, up to 5 projects were selected and tested.
- v. For sampled project expenditures representing Facilities Services Division (FSD) related construction payments, we verified construction project payment procedures had been met by testing the following:
 - The Contractor certified the Application for Payment by evidence of a signature.
 - The Owner Authorized Representative (OAR) certified that the services had been rendered by evidence of a signature.
 - The payment package included the Encumbrance/Payment request form, the Application for Payment, the Owner Assessment Summary, and other necessary supporting documents.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE US
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING *(continued)*

Conclusions

The results of our tests indicated that sampled non-payroll expenditures were properly expended only for the purposes approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution and were not expended on school operating expenditures.

Facilities Services Division (FSD) issued its most recent Board approved SEP in 2024, which was used for testing. Expenditures pertaining to projects not listed in the 2024, or prior years, SEP's were tested in accordance with the board approved SEP amendments.

Additionally, the non-payroll expenditures were properly approved and reviewed by District personnel, along with construction payments adhering to construction project payment procedures.

c. Procedures Performed

We selected a total of 6 employees' payroll expenditures (sampled employees) for the entire fiscal year amounting to \$11.8K of the total population of payroll expenditures. We performed the following procedures:

- i. Determined that the sampled employees' payroll expenditures were in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and were consistent with the work scope of Measure US's Resolution as presented to the voters and further defined by various Board approved SEPs and amendments.
- ii. Verified, based on interviews with the sampled employees, the work conducted in connection with the time charged to Measure US was in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution, and was not related to teacher or school administrative activities.
- iii. Verified that the District maintained adequate time and effort reporting controls and procedures for regular review of appropriate charges to Measure US by testing the following:
 - Sampled employees maintained a multi-funded timesheet, or
 - Sampled employees' Semi-Annual Certification Forms of Bond-Funded Work (Certification) were submitted to the Office of Chief Financial Officer's (CFO) Bond Compliance Unit in accordance with the District's Bulletin BUL-6521.2 dated December 17, 2021, for the entire fiscal year.
- iv. For employees who submitted a Certification with a "% of Regular Time Spent on Bond-Eligible Projects/Activities" under 100% or whose time was not tracked on a project basis, we determined that payroll expenditures were based on the time associated with actual activities performed on Measure US, and not based on a predetermined budgeted rate/allocation, by reviewing supporting documentation to verify that payroll expenditures charged to Measure US were based on actual time spent on Measure US related activities.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE US
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING *(continued)*

Conclusions

The results of our tests indicated that the sampled payroll expenditures were properly expended only for the purposes approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution and were not expended on teacher or school administrative activities.

Facilities Services Division (FSD) issued its most recent Board approved SEP in 2024, which was used for testing. Expenditures pertaining to projects not listed in the 2024, or prior years, SEP's were tested in accordance with the board approved SEP amendments.

The sampled employees maintained adequate time and effort reporting documents by either tracking time in Colin, Maximo, PATS, or custom forms on an internal order or project basis or submitting Semi-Annual Certifications of Bond-Funded Work.

For employees who submitted a Certification with a “% of Regular Time Spent on Bond-Eligible Projects/Activities” under 100% or whose time was not tracked on a project basis, the results of our tests indicated that payroll expenditures were based on the time associated with actual activities performed on Measure US, and not based on a predetermined budgeted rate/allocation, by reviewing supporting documentation which verified that payroll expenditures charged to Measure US were based on actual time spent on Measure US related activities.

d. Procedures Performed

We selected 20 Transfer Out (sampled transfer) and performed the following procedures:

- i. Determined that the sampled non-payroll expenditures were in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and were consistent with the work scope of Measure US's Resolution as presented to the voters and further defined by various Board approved SEPs and amendments, and not expended on school operating expenditures.
- ii. For non-payroll project expenditures, we reviewed the supporting documents for the transfers out and determined that the amounts expended were consistent with the Board approved SEPs and amendments or Board Report authorizing use of Measure US funds.

Conclusions

The results of our tests indicated that sampled non-payroll expenditures was properly expended only for the purposes approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution and was not expended on school operating expenditures. Additionally, the amounts expended were consistent with the Board approved SEPs and amendments or Board Report authorizing the use of Measure US funds.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE US
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

No matters were reported.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE US
PERFORMANCE AUDIT
SCHEDULE OF PRIOR YEAR FINDINGS AND RESPONSES
June 30, 2025**

No matters were reported.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
JUNE 30, 2025**



**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
June 30, 2025**

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Independent Auditor's Report

The Honorable Board of Education and
School Construction Bond Citizens' Oversight Committee
Los Angeles Unified School District

We have conducted a performance audit of the Los Angeles Unified School District's (the District), **Measure RR School Bond Construction Program** for the year ended June 30, 2025.

We conducted this performance audit in accordance with *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain sufficient, appropriate evidence to provide a reasonable basis for our findings and conclusions based on our audit objectives. We believe that the evidence obtained provides a reasonable basis for our findings and conclusions based on our audit objectives.

Our audit was limited to the objectives listed on page 5 of this report which includes determining the District's compliance with the performance requirements for the Proposition 39 Measure RR General Obligation Bonds and outlined in Article XIII A, Section 1(b)(3)(C) of the California Constitution. Management is responsible for the District's compliance with those requirements.

In planning and performing our performance audit, we obtained an understanding of the District's internal control to determine if the internal controls were adequate to help ensure the District's compliance with the requirements of Proposition 39 and outlined in Article XIII A, Section 1(b)(3)(C) of the California Constitution, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

The results of our tests indicated that the District expended Measure RR School Bond Construction Program funds only for the specific projects approved by the voters, in accordance with Proposition 39 and outlined in Article XIII A, Section 1(b)(3)(C) of the California Constitution.

Los Angeles, California
April 24, 2026

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
LEGISLATIVE HISTORY
June 30, 2025**

On November 7, 2000, California voters approved Proposition 39, the *Smaller Classes, Safer Schools and Financial Accountability Act*. Proposition 39 amended portions of the California Constitution to provide for the issuance of general obligation bonds by school districts, “for the construction, reconstruction, rehabilitation or replacement of school facilities, including the furnishing and equipping of school facilities, or the acquisition or lease of real property for school facilities”, upon approval by 55% of the electorate. Additional accountability measures, as stipulated in Education Code Section 15278 – 15282, and 15286, are as follows:

1. A requirement that the school district establish and appoint members to an independent citizens’ oversight committee.
2. A requirement that the proceeds from the sale of the bonds be used only for the purposes described in Article XIII A, Section 1(b)(3)(A) of the California Constitution and ensuring that no funds are used for any teacher or administrative salaries or other school operating expenses.
3. A requirement that the school district list the specific school facilities projects to be funded and certification that the school district board has evaluated safety, class size reduction, and information technology needs in developing that list.
4. A requirement that the school district conduct an annual independent performance audit, in accordance with Government Auditing Standards issued by the Comptroller General of the United States, required by Article XIII A, Section 1(b)(3)(C) of the California Constitution, ensuring that the funds have been expended only on the specific projects listed.
5. A requirement that the school district conduct an annual independent financial audit, in accordance with Government Auditing Standards issued by the Comptroller General of the United States, required by Article XIII A, Section 1(b)(3)(D) of the California Constitution, of the proceeds from the sale of the bonds until all of those proceeds have been expended for the school facilities projects.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
MEASURE RR GENERAL OBLIGATION BONDS
June 30, 2025**

The Measure RR School Bond Construction Program (Measure RR) or "the school upgrades and safety measure" approved by the voters under California Proposition 39, known as the *Smaller Classes, Safer Schools and Financial Accountability Act* (Prop 39), is intended to provide the Los Angeles Unified School District (the District) funding to update classrooms/labs/technology for 21st century learning; implement COVID-19 facility safety standards; address school facility inequities; reduce asbestos, earthquake and water quality hazards; and replace/renovate aging school classrooms/buildings.

The Board of Education (the Board) has established a School Construction Bond Citizens' Oversight Committee (BOC) to ensure that the proceeds of Measure RR's bond issuances are used for the purposes stated in the Board Resolution (the Resolution), which placed Measure RR on the 2020 ballot.

The proceeds from the Measure RR are to be used for projects such as the following:

- Upgrade, acquire, and/or install communication and safety/security systems, networks, fixtures, infrastructure, and equipment.
- address/telecommunications, and exterior lighting.
- Install and/or replace security gates, fencing, and master key/door lock and access control systems, fixtures, and equipment.
- Replace plumbing systems and/or fixtures to address lead or deterioration and/or improve water quality.
- Upgrade and/or rehabilitate grounds, fixtures, buildings, and structures or portions thereof, including, but not limited to, hand sanitizing stations touchless faucets, automatic flush urinals, and toilets, motion sensor hand dryers, touchless/hands-free/automatic doors, physical barriers such as clear plastic sneeze guards, and ventilation systems, to eliminate or mitigate health and safety risks and/or comply with local, state and federal building, health, safety, access, and other related guidelines, guidance, or requirements, including those related to COVID-19.
- Retrofit, rehabilitate, reconstruct, and/or replace school buildings to improve earthquake safety.
- Install and/or upgrade air quality improvement systems and equipment.
- Furnish and equip school facilities with technology.
- Upgrade, replace, acquire, and/or install technology infrastructure, systems, fixtures, hardware, and software.
- Modernize, renovate, replace, and/or upgrade school facilities.
- Replace, upgrade, and/or install major site, building, and utility systems and equipment.
- Construct and/or upgrade clean, renewable, sustainable, and efficient energy and/or water systems, equipment, and features
- Renovate, install, construct, upgrade, and/or replace school grounds, gardens, outdoor areas, outdoor structures, outdoor learning areas, landscape, hardscape, permeable surfaces, irrigation, drainage, storm drain connections, and stormwater retention systems, which may include the removal of portable or modular buildings.
- Construct, upgrade, and/or expand pathways, path of travel, paved areas, roads, sidewalks, pick-up/drop-off areas, and parking lots and related areas.
- Construct, reconstruct, rehabilitate, expand, and/or replace athletic, recreational, and/or sports facilities including, but not limited to, play areas, playgrounds, play fields, gymnasiums, stadiums, athletic fields, and tracks (synthetic or natural), tennis courts and other hardcourts, pools, baseball/softball dugouts and batting cages, stadiums, bleachers, press boxes, announcer's booths, scoreboards, and locker rooms.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
MEASURE RR GENERAL OBLIGATION BONDS
June 30, 2025**

The proceeds from the Measure RR are to be used for projects such as the following (continued):

- Renovate, replace, and/or install lighting for athletic fields, play fields, tracks, courts, and stadiums.
- Rehabilitate closed schools, centers, and/or sites to be operational, and renovate/upgrade such schools, centers, and/or sites to meet health, safety, and access requirements, and efficiency and program needs.
- Acquire or replace school buses.
- Americans with Disabilities Act (ADA) and other accessibility upgrades, renovations, and installations to physical elements/areas.
- Indoor and outdoor furniture including, but not limited to, desks, chairs, benches, tables, modular furniture, bookcases and lockers.
- Technology including, but not limited to, laptops, laptop carts, computers, tablets, mobile devices, digital projectors, 3D printers, smart/interactive whiteboards, UAV/UAS educational drones, cameras, document cameras, sound amplification devices, monitors, ceiling mounted projectors, televisions, copiers, scanners, printers, microphones, audio systems, video systems, announcement displays, and digital marquees.
- Equipment, including, but not limited to, computer science equipment, robotics equipment, science lab equipment, career technical education industry-specific equipment, food service equipment, and gymnasium or athletic equipment such as basketball backboard and rim systems, baseball/softball dugouts and batting cages, and soccer goal posts and nets.
- Acquire, construct, furnish, and equip new schools, classrooms, classroom buildings, adult and career technical education facilities, preschool facilities, labs, gymnasiums, other school athletic, recreational, and sports facilities.
- Development of District-owned facilities for charter schools pursuant to, without limitation, a District augmentation program.
- Consistent with the District's responsibilities under Education Code Section 47614, renovate school facilities.
- Construction of new and expansion of existing school-based wellness clinics.
- Construction, reconstruction, rehabilitation, and replacement of athletic, recreational, and/or sports facilities.

All projects to be funded under Measure RR must be included in the Strategic Execution Plans (SEPs) approved by the Board. The District has established General Obligation Bond Charging Guidelines to outline the allowable expenditures for Measure RR. Such guidelines specifically state that no funds will be spent for teacher, administrator salaries or for school operating expenses.

The Measure RR initiative authorized the issuance of \$7.0 billion in bonds. \$1.6 billion has since been issued between November 2021 and May 2025. The bonds are included in the audited financial statements of the District.

The District tracks the financial activities related to Measure RR in the District Bonds Fund. The District Bonds Fund is comprised of multiple funds in the District's Audited Comprehensive Financial Report (ACFR).

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

OBJECTIVES OF THE AUDIT

The following represents the objectives of our performance audit:

1. Bond Expenditures and Recordkeeping

Determine that the District expended Measure RR funds for the year ended June 30, 2025, only for the purpose approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution.

2. Procurement of Contracts/Agreements

Determine that the District procured Professional Service Agreements in accordance with the District's Desk-Top Procedures for Facilities Contracts, Construction Contracts in accordance with the District's Operational Standards Policies & Procedures and Desk-Top Procedures for Facilities Contracts, and Goods and Supplies Contracts in accordance with the District's Procurement Manual.

The scope, methodology, and conclusions of the above objectives are enumerated on pages 6 through 13 of this report.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING

Objective

Determine that the District expended Measure RR funds for the year ended June 30, 2025, only for the purpose approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution.

Scope

The scope covers the period from July 1, 2024, to June 30, 2025. The population of expenditures tested includes object codes and specific projects associated with Measure RR.

A total of \$461.4 million in expenditures were identified for fiscal year ended June 30, 2025, which consists of the following (thousands):

Non-Payroll Expenditures:	
Books and supplies	\$ 674
Services and other operating expenditures	10,891
Capital outlay	445,607
Debt service: principal	64
Debt service: capital leases interest	8
<i>Total non-payroll expenditures</i>	<u>457,244</u>
Payroll Expenditures:	
Classified salaries	2,238
Employee benefits	1,218
<i>Total payroll expenditures</i>	<u>3,456</u>
Other Financing Uses:	
Transfers out	692
<i>Total other financing uses</i>	<u>692</u>
Total Measure RR Expenditures per ACFR - District Bonds Fund	<u>\$ 461,392</u>

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING *(continued)*

a. Procedure Performed

We obtained a general ledger report prepared by the District detailing balances for all funds which made up the District Bonds Fund to reconcile the totals to the balances reported as of June 30, 2025, in the ACFR. We extracted from the general ledger report all activities pertaining to Measure RR, Fund 216, as of June 30, 2025.

Conclusion

The results of our test indicated that all Measure RR expenditure balances reconciled to the District Bonds Fund reported in the ACFR.

b. Procedures Performed

We selected a total of 312 individual invoices (sampled project expenditures) representing non-payroll expenditures amounting to \$141.8 million or 31% of the total population of non-payroll expenditures.

We obtained the original invoices and other relevant supporting documentation for expenditures sampled to determine compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and Measure RR's approved specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments. We performed the following procedures:

- i. Determined that the sampled project expenditures were in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and were consistent with the work scope of Measure RR's Resolution as presented to the voters and further defined by various Board approved SEPs and amendments.
- ii. Determined that the sampled project expenditures were not expended on school operating expenditures.
- iii. Verified that the appropriate District personnel had approved and reviewed all sampled project expenditures before payment was made.
- iv. Verified that corresponding projects or non-project allocations in each of the sampled project expenditures were included in the cumulative and various SEPs and amendments. For invoices which covered multiple projects, up to 5 projects were selected and tested.
- v. For sampled project expenditures representing Facilities Services Division (FSD) related construction payments, we verified construction project payment procedures had been met by testing the following:
 - The Contractor certified the Application for Payment by evidence of a signature.
 - The Owner Authorized Representative (OAR) certified that the services had been rendered by evidence of a signature.
 - The payment package included the Encumbrance/Payment request form, the Application for Payment, the Owner Assessment Summary, and other necessary supporting documents.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING *(continued)*

Conclusions

We identified 21 instances of non-compliance with Procedure (b)(i). Refer to finding **MRR-2025-001** in the Schedule of Findings and Responses for further details.

Facilities Services Division (FSD) issued its most recent Board approved SEP in 2024, which was used for testing. Expenditures pertaining to projects not listed in the 2024, or prior years, SEP's were tested in accordance with the board approved SEP amendments.

Additionally, the non-payroll expenditures were properly approved and reviewed by District personnel, along with construction payments adhering to construction project payment procedures.

c. Procedures Performed

We selected a total of 37 employees' payroll expenditures (sampled employees) for the entire fiscal year amounting to \$2.3M of the total population of payroll expenditures. We performed the following procedures:

- i. Determined that the sampled employees' payroll expenditures were in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and were consistent with the work scope of Measure RR's Resolution as presented to the voters and further defined by various Board approved SEPs and amendments.
- ii. Verified, based on interviews with the sampled employees, the work conducted in connection with the time charged to Measure RR was in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution, and was not related to teacher or school administrative activities.
- iii. Verified that the District maintained adequate time and effort reporting controls and procedures for regular review of appropriate charges to Measure RR by testing the following:
 - Sampled employees maintained a multi-funded timesheet, or
 - Sampled employees' Semi-Annual Certification Forms of Bond-Funded Work (Certification) were submitted to the Office of Chief Financial Officer's (CFO) Bond Compliance Unit in accordance with the District's Bulletin BUL-6521.2 dated December 17, 2021, for the entire fiscal year.
- iv. For employees who submitted a Certification with a "% of Regular Time Spent on Bond-Eligible Projects/Activities" under 100% or whose time was not tracked on a project basis, we determined that payroll expenditures were based on the time associated with actual activities performed on Measure RR, and not based on a predetermined budgeted rate/allocation, by reviewing supporting documentation to verify that payroll expenditures charged to Measure RR were based on actual time spent on Measure RR related activities.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING *(continued)*

Conclusions

The results of our tests indicated that the sampled payroll expenditures were properly expended only for the purposes approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution and were not expended on teacher or school administrative activities.

The sampled employees maintained adequate time and effort reporting documents by either tracking time in Colin, Maximo, PATS, or custom forms on an internal order or project basis or submitting Semi-Annual Certifications of Bond-Funded Work.

We identified two instances of non-compliance with Procedure (c)(iv). Refer to finding **MRR-2025-002** in the Schedule of Findings and Responses for further details.

d. Procedures Performed

We selected 1 Transfer Out (sampled transfer) and performed the following procedures:

- i. Determined that the sampled non-payroll expenditures were in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and were consistent with the work scope of Measure RR's Resolution as presented to the voters and further defined by various Board approved SEPs and amendments, and not expended on school operating expenditures.
- ii. For non-payroll project expenditures, we reviewed the supporting documents for the transfers out and determined that the amounts expended were consistent with the Board approved SEPs and amendments or Board Report authorizing use of Measure RR funds.

Conclusions

The results of our tests indicated that sampled non-payroll expenditure was properly expended only for the purposes approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution and was not expended on school operating expenditures. Additionally, the amounts expended was consistent with the Board approved SEPs and amendments or Board Report authorizing the use of Measure RR funds.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

2. PROCUREMENT OF CONTRACTS/AGREEMENTS

Objective

Determine that the District procured Professional Service Agreements in accordance with the District's Desk-Top Procedures for Facilities Contracts, Construction Contracts in accordance with the District's Operational Standards Policies & Procedures and Desk-Top Procedures for Facilities Contracts, and Goods and Supplies Contracts in accordance with the District's Procurement Manual.

Scope

The scope covers contracts/agreements procured during the period of July 1, 2024, to June 30, 2025, in which the original funding strategy source assigned was Measure RR.

Procedures Performed

We selected 3 Professional Services Agreements to determine whether the District procured the contracts in accordance with the applicable requirements of the District's Desk-Top Procedures for Facilities Contracts by testing the following for the selected agreements:

- i. We verified that the selected firm was approved by the board before performance was conducted, or that project-specific contract actions delegated by the Board were properly reported.
- ii. We verified a Request for Proposal (RFP), Request for Qualifications (RFQ), or Invitation for Bid (IFB) was established.
- iii. If the Pre-Bid Meeting was mandatory the sign in sheet/attendance sheet showed that the firm attended the Pre-Bid Meeting.
- iv. We verified the Evaluation Panel Members signed the Non-Disclosure Form.
- v. We verified that the Scoring and Ranking Forms were completed.
- vi. We verified, for agreements valued at \$500,000 or higher, that a Dunn and Bradstreet report was completed.
- vii. We verified, for agreements valued at \$5,000,000 or higher, that a Due Diligence Background Check was completed.
- viii. We verified that the Recommendation to Award (RTA) was signed by Panel Members and the Director of Facilities Contracts. For design service contracts, we verified a Ratification Memo was issued.
- ix. We verified the firm completed conflict of interest and ethics rules of conduct forms.
- x. We verified Written Qualifications and Cost Proposals were collected for PS agreements between \$10,000 - \$114,500. For any sole source contracts, we verified a non-competitive/sole source justification form was filled out.
- xi. We verified a fully signed contract was entered between the District and the contractor.
- xii. For contracts up to \$250,000, we verified the District completed an Informal Request for Proposal (IFRP), shopping cart (if applicable), Request for Procurement Action (RFPA) and a Statement of Work form was completed.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

2. PROCUREMENT OF CONTRACTS/AGREEMENTS *(continued)*

Procedures Performed *(continued)*

We selected 4 Construction Contracts to determine the District procured those contracts in accordance with the applicable requirements of the Operational Standards Policies & Procedures and Desk-Top Procedures for Facilities Contracts by testing the following for the selected contracts:

- i. We verified that the bid was properly advertised by testing the following:
 - Request for Advertising of a Construction Project was submitted by the OAR and approved by authorized District officials.
 - Bid Advertisements were placed in the Los Angeles Daily Journal and bidding information was provided to various trade publications.
 - Bids were advertised for two consecutive weeks.
- ii. We verified that the contract was awarded to a prequalified bidder by testing the following:
 - The prequalified bidder was included in the List of Currently Prequalified Prime/General Contractors for Formal Competitively Bid Projects. Projects that did not require formally pre-qualified bidders were approved by the Acquisition Strategy Board (ASB).
 - The bid date (from the Request for Advertisement) was valid as of the effective date of the List of Currently Prequalified Prime/General Contractors for Formal Competitively Bid Projects.
- iii. We verified that the contract was awarded to the lowest responsive bidder pursuant to Public Contract Code Section 20103.8(b) by reviewing the following:
 - If the Pre-Bid Meeting was mandatory the sign-in sheet/attendance sheet showed that the Bidder attended the Pre-Bid Meeting.
 - The required bid forms were submitted by the bidder along with their sealed bid (Bid and Acceptance Form, Bid Security Form, Certification Requirement, and Non-Collusion Affidavit).
 - At least 3 bidders responded to the advertisement (non-mandatory) or were among the attendees of the mandatory pre-bid meeting.
 - The contract was awarded to the lowest bidder as stated on the Tabulation of Bids Received by Facilities Construction Contracts. Lowest bid price is the lowest base bid without consideration of the prices on the additive or deductive bid items.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

2. PROCUREMENT OF CONTRACTS/AGREEMENTS *(continued)*

Procedures Performed *(continued)*

- iv. We verified that the award of the contract was properly executed.
 - The Contract Administrator (CA) prepared the Recommendation to Award (RTA) and signed off that all bidding requirements were met and that the identified bidder was the lowest responsive and responsible bidder.
 - Facilities Construction Contracts (FCC) forwarded the RTA (Exhibit L) to Facilities Procurement and Payment Services (FPPS) for funding verification and approval. The RTA under a Master Contract did not show the specific amount of the contract but rather the pre-encumbered minimum guaranteed amount. This form showed the range (minimum to maximum) amount of the contract.
 - RTA was signed by the CA, the Director/Deputy Director (Delegated/Authorized signatories), and a copy was given to the OAR and/or Project Manager.
 - Notice of Intent to Award (NOIA) was transmitted to the Contractor with the remaining requirements before the contract was awarded.
 - Within 10 days of receipt of NOIA, the awarded contractor picked up the NOIA package, plans, and specification, including any addenda; enrolled in OCIP; and submitted the package to the FCC: (1) one executed original of the payment bond (2) one executed original of the performance bond (3) confirmation that bidder submitted the required paperwork to enroll in the Owner Controlled Insurance Program (OCIP). Certain contracts do not require OCIP and Advertisement because of the nature of the service rendered, such as "Emergency Asbestos Removal". In these cases, the contractor was required to provide a copy of their own insurance coverage.
 - Final contract was issued with evidence of all required approvals.
- v. We verified that the contract award was properly authorized and approved by the Board.
- vi. We verified that the extract of the Public Works Contract (PWC) Award was forwarded to the California Department of Industrial Relations - Division of Apprenticeship Standards.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

2. PROCUREMENT OF CONTRACTS/AGREEMENTS *(continued)*

Procedures Performed *(continued)*

We selected 2 Goods and Supplies Contracts to determine the District procured the contracts in accordance with the applicable requirements of the Procurement Manual by testing the following for the selected contracts:

- i. We verified that a contract was established with required approvals.
- ii. We verified that a Fully Funded Shopping Cart was established, with the exception of Invitation for Bid (IFB) Contracts.
- iii. We verified that a Request for Procurement Action (RFPA) was established with required approvals.
- iv. We verified that a Formal Invitation for Bid was established, and a formal competition was conducted.
- v. We verified that the supporting documentation was included in the Informative for Board Review, such as the background on the suggested award along with details of usage and funding.
- vi. We verified that the contract award was properly authorized and approved by the Board.
- vii. For contracts established via Single/Sole Source, we verified the existence of a justification form with proof of approval by the designated officials.

Conclusions

The results of our tests indicated that the District procured the selected Professional Service Agreements in accordance with the District's Desk-Top Procedures for Facilities Contracts, the selected Construction Contract in accordance with the applicable requirements of the District's Operational Standards Policies & Procedures, and Desk-Top Procedures for Facilities Contracts, and selected Goods and Supplies Contracts in accordance with the District's Procurement Manual.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

MRR-2025-001 – Indirect Cost Charges

Criteria

Indirect costs are associated with the bond program but should not or cannot be reasonably attributed to individual projects. These costs include the following:

- *Program Management*: Includes program level support costs for staff members of the Facilities Executive Office and FSD branches. Also includes activities that may be needed to prepare for Board review of project definitions such as surveying, master planning, standards development, and initial project scoping.
- *Non-FSD Support*: Includes costs of support staff outside of FSD, but funded by the bond program, such as the offices of the General Counsel, Inspector General, Procurement Services, Accounts Payable, Risk Management, and the Personnel Commission.
- *Other Indirect Costs*: Includes costs associated with bond issuance, professional services related to program needs, and bond program operating costs such as supplies, equipment, technology, and previously leased space for bond program staff.

Purchases associated with indirect costs that benefit both bond projects and non-bond projects should be allocated based on a proportional cost analysis that reflects the relative benefit to each program, ensuring an equitable distribution of expenditures.

Condition, Cause & Effect

In conjunction with Objective 1, Procedure (b)(i), of the non-payroll expenditures sampled, we identified the following:

1. Program Management / Job Order Contracting – Gordian

Based on our review of 3 non-payroll expenditures charged to the bond funds for Gordian Job Order Contracting program management services, it was determined that the bond-funded allocation included costs associated with both bond and non-bond projects. Although the District later provided support indicating that some of the underlying projects were not bond funded and that the bond funds would need to be adjusted, the true-up had not been processed during the fiscal year. Accordingly, the expenditures charged to the bond funds were not fully supported by the final bond/non-bond proportional analysis, resulting in a reported exception of \$17,370.82.

2. Architecture & Engineering Services at Facilities Maintenance & Operations – Invoice Authorization

Based on our review of 1 non-payroll expenditure charged to the bond funds within Architecture & Engineering Services at Facilities Maintenance & Operations, it was determined that the invoice was processed without sufficient evidence of review and approval by authorized District personnel. Specifically, the individual involved in authorizing the invoice could not be located on the District's authorized approver listing provided for audit. In addition, the expenditure lacked adequate evidence of authorized approval in accordance with established procedures.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

MRR-2025-001 – Indirect Cost Charges *(continued)*

Condition, Cause & Effect *(continued)*

3. Information Technology Services Costs Allocation

Based on our review of 17 non-payroll expenditure samples charged to the bond funds for the Safety, Communications, and Security Modernization program, we identified instances in which Information Technology Services contractor and project administration expenditures were initially charged fully to bond funds, although it was identified that the contractors worked on both bond-funded and non-bond-funded activities and that time was being tracked based on IO numbers. The support provided indicated that bond and non-bond expenditures were to be distributed by Information Technology Services based on actual time worked. Based on our review, the invoices were recorded entirely to bond funds at the time of processing, and the related non-bond portion was not adjusted out of bond funds prior to June 30, 2025. The total costs associated with those invoices totaled \$120,737,50.

Recommendation

We recommend the following to the District:

- a. Facilities Services Division - For item 1 identified in our finding, conduct a proportional cost analysis to evaluate the relative benefit that the indirect cost provides to both bond and non-bond projects. Additionally, adjust Measure RR's expenditure based on the proportional cost analysis conducted ensuring an equitable distribution of expenditures.
- b. Architecture & Engineering Services at Facilities Maintenance & Operations – In related to item 2 identified in our finding, ensure invoices charged to the bond funds are reviewed and approved only by District personnel included on the authorized approver listing, and strengthen controls to prevent expenditures from being processed without evidence of such approval in accordance with established procedures.
- c. Information Technology Services - For item 3 identified in our finding, conduct an allocation analysis based on the work performed by the contractors as reflected in their submitted invoices to determine the portion properly chargeable to bond-funded activities and non-bond-funded activities. Additionally, adjust each Measure Q's expenditure based on the allocation analysis conducted to ensure the expenditures charged to the bond funds are supported.
- d. Bond Compliance Unit - Provide training, guidance, and support to the impacted departments to ensure compliance with established policies and procedures in items (a).
- e. The District should establish policies and procedures regarding the use of bond funds for indirect costs, including (1) clear basis for establishing the budgeted indirect cost, (2) clear procedures and basis for establishing actual indirect costs charged, (3) clear reporting of indirect costs incurred, and (4) establishing indirect cost budgets within the Strategic Execution Plan(s), subject to approval by the Board of Education.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

MRR-2025-001 – Indirect Cost Charges *(continued)*

Views of Responsible Officials and Planned Corrective Actions

a. Facilities Services Division

The FSD purchases were not acquired for non-bond purposes, and as the completed calculations show, most of the benefits were received by the bond program. Where purchases were intended to benefit both bond and non-bond programs, FSD apportioned the costs by the estimated benefit to each program. Although the auditor has questioned those apportionments, FSD feels that the estimates used were reasonable.

FSD is concerned that effort required to reallocate costs a year or more after the purchase is not a cost-effective method of apportionment and adversely affects planning when the costs to each program are unknown even after the purchase is made. Although it will have adverse consequences to the District's programs as a whole, the most efficient way of complying with this requirement is to simply reserve items purchased with bond funds to be used exclusively for bond funded purposes.

FSD will perform the following corrective actions in Fiscal Year 2026:

Program Management / Job Order Contracting – Gordian - The District concurs with the finding that Measure RR was overcharged by \$17,370.82. The District finalized the proportional cost analysis for this item and will adjust the MRR expenditure in FY-26.

- b. Architecture & Engineering Services at Facilities Maintenance & Operations – The District concurs that there was a lack of adherence to the Facilities bond approval process. FSD ratifies that these are proper expenditures and will conduct additional training on A/E Services approvals related to bond expenditures.
- c. Information Technology Services - The cost allocations between bond and non-bond funding based on IOs have been processed in Fiscal Year 2026, along with the necessary journal vouchers (JVs) and PO repostings.
- d. Bond Compliance Unit - The Bond Compliance Unit will engage with impacted departments by June 30, 2026, to provide guidance and support to address compliance with established policies.
- e. The District will review and revise existing procedures in light of the recommendation to improve the budgeting, charging, and reporting of indirect costs and accountability thereof.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

MRR-2025-002 – Payroll Expenditure Charges

Criteria

District departments seeking approval of the use of Bond Funds for personnel costs must submit justification to the CFO's Bond Compliance Unit. The justification includes the title and duties of the position, the percentage of the position's total personnel costs which will be Bond-Funded, and documentation supporting the stated percentage. The CFO's Bond Compliance Unit is responsible for approving Bond-Funded positions by reviewing the submitted justification validating the need for the position and maintaining copies of the submitted supporting documentation.

FSD, ITS, and other department employees who were Measure RR funded classified employees, reporting time in Colin, Maximo, PATS, custom forms on an internal order or project basis, or other department-managed timekeeping systems, and whose time is charged to an "overhead" or "indirect" code, must maintain supporting documentation verifying that the payroll expenditures charged to Measure RR was based on actual time spent or a system in place to properly establish relevant metrics necessary to distinguish bond-funded versus non-bond-funded activities, on Measure RR related activities, and was not based on the originally budgeted percentage included in the justification submitted to the CFO's Bond Compliance Unit.

Payroll expenditures charged to Measure RR should be adjusted at the end of the year to reflect the actual time spent or a system in place to establish relevant metrics properly, not based on budgeted assumptions, necessary to distinguish bond-funded versus non-bond funded activities, on Measure RR related activities.

Condition, Cause & Effect

In conjunction with Objective 1, Procedure (c)(iv) of the employees sampled, we identified the following:

- a. Based on our review of payroll documentation for two employees from the District's Office of Environmental Health and Safety (OEHS) department, it was determined that the employees' payroll charges to Measure RR were based on a fixed budgeted percentage. Departments who utilize a fixed budgeted percentage to charge an employee's payroll charges throughout the fiscal year to the bond funds should support these charges by conducting an analysis, prior to the closing of the books, of actual time spent during the year to adjust the bond funds accordingly.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

MRR-2025-002 – Payroll Expenditure Charges *(continued)*

Recommendation

We recommend the following to the District:

- a. The CFO's Bond Compliance Unit to provide training, guidance, and support to the District's OEHS department regarding the analysis of payroll expenditures charged to Measure RR against actual time spent or a system in place to properly establish relevant metrics, not based on budgeted assumptions, necessary to distinguish bond-funded versus non-bond funded activities, on Measure RR related activities. Further, the District should ensure that personnel responsible for making such decisions on behalf of the department are present for the training.
- b. The District's OEHS department establishes relevant metrics necessary to distinguish bond-funded versus non-bond funded activities, which are not based on budgeted assumptions, to make relative adjustments at the end of the year, as a result of the training provided by the CFO's Bond Compliance Unit.

Views of Responsible Officials and Planned Corrective Actions

- a. Bond Compliance - The Bond Compliance Unit will engage with impacted departments by June 30, 2026, to provide guidance and support to address compliance with established policies.
- b. OEHS

OEHS acknowledges the recommendations set forth by the auditors and has taken corrective action to strengthen time reporting practices, ensuring staff report actual time worked rather than relying on budgeted allocations.

OEHS conducted an analysis of FY 2024–2025 labor actuals and, in coordination with BCU, completed a bond realignment for 27 positions to better reflect actual workload distribution. To support accurate reporting, OEHS implemented enhancements within Maximo, including Bond-Only Work Orders and a project-specific tracking mechanism.

Additionally, OEHS provided targeted staff training on time reporting requirements and initiated retroactive COLIN corrections to align employee time reporting with updated bond designations. These corrections are in progress and expected to be completed by June 30, 2026. OEHS has also implemented quarterly monitoring of bond actuals for FY 2025–2026 to ensure ongoing accuracy and compliance. OEHS remains committed to continuous improvement and will continue to partner with BCU to refine practical approaches for tracking and reporting metrics.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE RR
PERFORMANCE AUDIT
SCHEDULE OF PRIOR YEAR FINDINGS AND RESPONSES
June 30, 2025**

No matters were reported.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Q
PERFORMANCE AUDIT
JUNE 30, 2025**



**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Q
PERFORMANCE AUDIT
June 30, 2025**

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Independent Auditor's Report

The Honorable Board of Education and
School Construction Bond Citizens' Oversight Committee
Los Angeles Unified School District

We have conducted a performance audit of the Los Angeles Unified School District's (the District), **Measure Q School Bond Construction Program** for the year ended June 30, 2025.

We conducted this performance audit in accordance with *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain sufficient, appropriate evidence to provide a reasonable basis for our findings and conclusions based on our audit objectives. We believe that the evidence obtained provides a reasonable basis for our findings and conclusions based on our audit objectives.

Our audit was limited to the objectives listed on page 4 of this report which includes determining the District's compliance with the performance requirements for the Proposition 39 Measure Q General Obligation Bonds and outlined in Article XIII A, Section 1(b)(3)(C) of the California Constitution. Management is responsible for the District's compliance with those requirements.

In planning and performing our performance audit, we obtained an understanding of the District's internal control to determine if the internal controls were adequate to help ensure the District's compliance with the requirements of Proposition 39 and outlined in Article XIII A, Section 1(b)(3)(C) of the California Constitution, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

The results of our tests indicated that the District expended Measure Q School Bond Construction Program funds only for the specific projects approved by the voters, in accordance with Proposition 39 and outlined in Article XIII A, Section 1(b)(3)(C) of the California Constitution.

Los Angeles, California
April 24, 2026

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Q
PERFORMANCE AUDIT
LEGISLATIVE HISTORY
June 30, 2025**

On November 7, 2000, California voters approved Proposition 39, the *Smaller Classes, Safer Schools, and Financial Accountability Act*. Proposition 39 amended portions of the California Constitution to provide for the issuance of general obligation bonds by school districts, “for the construction, reconstruction, rehabilitation or replacement of school facilities, including the furnishing and equipping of school facilities, or the acquisition or lease of real property for school facilities”, upon approval by 55% of the electorate. Additional accountability measures, as stipulated in Education Code Section 15278 – 15282, and 15286, are as follows:

1. A requirement that the school district establish and appoint members to an independent citizens’ oversight committee.
2. A requirement that the proceeds from the sale of the bonds be used only for the purposes described in Article XIII A, Section 1(b)(3)(A) of the California Constitution and ensuring that no funds are used for any teacher or administrative salaries or other school operating expenses.
3. A requirement that the school district list the specific school facilities projects to be funded and certification that the school district board has evaluated safety, class size reduction, and information technology needs in developing that list.
4. A requirement that the school district conduct an annual independent performance audit, in accordance with Government Auditing Standards issued by the Comptroller General of the United States, required by Article XIII A, Section 1(b)(3)(C) of the California Constitution, ensuring that the funds have been expended only on the specific projects listed.
5. A requirement that the school district conduct an annual independent financial audit, in accordance with Government Auditing Standards issued by the Comptroller General of the United States, required by Article XIII A, Section 1(b)(3)(D) of the California Constitution, of the proceeds from the sale of the bonds until all of those proceeds have been expended for the school facilities projects.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Q
PERFORMANCE AUDIT
MEASURE Q GENERAL OBLIGATION BONDS
June 30, 2025**

The Measure Q School Bond Construction Program (Measure Q) or "the Safe and Healthy Neighborhood Schools Repair and Construction Measure of 2008" was approved by the voters under California Proposition 39, known as the *Smaller Classes, Safer Schools and Financial Accountability Act* (Prop 39), is intended to provide the Los Angeles Unified School District (the District) funding to continue the repair and modernization of existing schools, replace bungalows with permanent classrooms, abate asbestos hazards, upgrade fire and safety systems, expand early education facilities, and provide sufficient core facilities at hundreds of schools.

The Board of Education (the Board) has established a School Construction Bond Citizens' Oversight Committee (BOC) to ensure that the proceeds of Measure Q's bond issuances are used for the purposes stated in the Board Resolution (the Resolution), which placed Measure Q on the 2008 ballot.

The proceeds from Measure Q are to be used for projects such as the following:

- build neighborhood schools;
- bungalow repair and removal;
- upgrade and redesign campuses to create smaller schools;
- install and upgrade fire alarm systems;
- undertake complete asbestos hazard removal program;
- air condition remaining non-air-conditioned buildings;
- perform school alterations and improvements;
- upgrade and reinforce computer networks, school information systems, and technology capability;
- upgrade emergency radio systems;
- build new and repair existing early education centers in neediest areas;
- promote alternative education models like joint use and small learning communities;
- build, plan, and equip charter schools;
- replace all special education buses;
- give low-performing schools added resources to improve results;
- audit and oversight of bond projects; and
- open new schools with a sufficient number of library books.

All projects to be funded under Measure Q must be included in the Strategic Execution Plans (SEPs) approved by the Board. The District has established General Obligation Bond Charging Guidelines to outline the allowable expenditures for Measure Q. Such guidelines specifically state that no funds will be spent for teacher, administrator salaries or for school operating expenses.

The Measure Q initiative authorized the issuance of \$7.0 billion in bonds. \$4.801 billion has since been issued between February 2016 and October 2024. The bonds are included in the audited financial statements of the District.

The District tracks the financial activities related to Measure Q in the District Bonds Fund. The District Bonds Fund is comprised of multiple funds in the District's Audited Comprehensive Financial Report (ACFR).

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Q
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

OBJECTIVES OF THE AUDIT

The following represents the objectives of our performance audit:

1. Bond Expenditures and Recordkeeping

Determine that the District expended Measure Q funds for the year ended June 30, 2025, only for the purpose approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution.

2. Procurement of Contracts/Agreements

Determine that the District procured Goods and Supplies Contracts in accordance with the District's Procurement Manual.

The scope, methodology, and conclusions of the above objectives are enumerated on pages 5 through 9 of this report.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Q
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING

Objective

Determine that the District expended Measure Q funds for the year ended June 30, 2025, only for the purpose approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution.

Scope

The scope covers the period from July 1, 2024, to June 30, 2025. The population of expenditures tested includes object codes and specific projects associated with Measure Q.

A total of \$787.8 million in expenditures were identified for fiscal year ended June 30, 2025, which consists of the following (thousands):

Non-Payroll Expenditures:	
Books and supplies	\$ 3,622
Services and other operating expenditures	8,992
Capital outlay	<u>691,439</u>
<i>Total non-payroll expenditures</i>	<u>704,053</u>
Payroll Expenditures:	
Classified salaries	49,294
Employee benefits	<u>27,349</u>
<i>Total payroll expenditures</i>	<u>76,643</u>
Other Financing Uses:	
Transfers out	<u>7,131</u>
<i>Total other financing uses</i>	<u>7,131</u>
Total Measure Q Expenditures per ACFR - District Bonds Fund	<u>\$ 787,827</u>

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Q
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING *(continued)*

a. Procedure Performed

We obtained a general ledger report prepared by the District detailing balances for all funds which made up the District Bonds Fund to reconcile the totals to the balances reported as of June 30, 2025, in the ACFR. We extracted from the general ledger report all activities pertaining to Measure Q, Fund 215, as of June 30, 2025.

Conclusion

The results of our test indicated that all Measure Q expenditure balances reconciled to the District Bonds Fund reported in the ACFR.

b. Procedures Performed

We selected a total of 412 individual invoices (sampled project expenditures) representing non-payroll expenditures amounting to \$359.1 million or 51% of the total population of non-payroll expenditures.

We obtained the original invoices and other relevant supporting documentation for expenditures sampled to determine compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and Measure Q's approved specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments. We performed the following procedures:

- i. Determined that the sampled project expenditures were in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and were consistent with the work scope of Measure Q's Resolution as presented to the voters and further defined by various Board approved SEPs and amendments.
- ii. Determined that the sampled project expenditures were not expended on school operating expenditures.
- iii. Verified that the appropriate District personnel had approved and reviewed all sampled project expenditures before payment was made.
- iv. Verified that corresponding projects or non-project allocations in each of the sampled project expenditures were included in the cumulative and various SEPs and amendments. For invoices which covered multiple projects, up to 5 projects were selected and tested.
- v. For sampled project expenditures representing Facilities Services Division (FSD) related construction payments, we verified construction project payment procedures had been met by testing the following:
 - The Contractor certified the Application for Payment by evidence of a signature.
 - The Owner Authorized Representative (OAR) certified that the services had been rendered by evidence of a signature.
 - The payment package included the Encumbrance/Payment request form, the Application for Payment, the Owner Assessment Summary, and other necessary supporting documents.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Q
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING *(continued)*

Conclusions

We identified 26 instances of non-compliance with Procedure (b)(i). Refer to finding **MQ-2025-001** in the Schedule of Findings and Responses for further details.

Facilities Services Division (FSD) issued its most recent Board approved SEP in 2024, which was used for testing. Expenditures pertaining to projects not listed in the 2024, or prior years, SEP's were tested in accordance with the board approved SEP amendments.

Additionally, the non-payroll expenditures were properly approved and reviewed by District personnel, along with construction payments adhering to construction project payment procedures.

c. Procedures Performed

We selected a total of 75 employees' payroll expenditures (sampled employees) for the entire fiscal year, amounting to \$13.4 million of the total population of payroll expenditures. We performed the following procedures:

- i. Determined that the sampled employees' payroll expenditures were in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and were consistent with the work scope of Measure Q's Resolution as presented to the voters and further defined by various Board approved SEPs and amendments.
- ii. Verified, based on interviews with the sampled employees, the work conducted in connection with the time charged to Measure Q was in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution, and was not related to teacher or school administrative activities.
- iii. Verified that the District maintained adequate time and effort reporting controls and procedures for regular review of appropriate charges to Measure Q by testing the following:
 - Sampled employees maintained a multi-funded timesheet, or
 - Sampled employee's Semi-Annual Certification Forms of Bond-Funded Work (Certification) were submitted to the Office of Chief Financial Officer's (CFO) Bond Compliance Unit in accordance with the District's Bulletin BUL-6521.2 dated December 17, 2021, for the entire fiscal year.
- iv. For employees who submitted a Certification with a "% of Regular Time Spent on Bond-Eligible Projects/Activities" under 100% or whose time was not tracked on a project basis, we determined that payroll expenditures were based on time associated with actual activities performed on Measure Q, and not based on a predetermined budgeted rate/allocation, by reviewing supporting documentation to verify that payroll expenditures charged to Measure Q were based on actual time spent on Measure Q related activities.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Q
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING *(continued)*

Conclusions

We identified three instances of non-compliance with Procedure (c)(i). Refer to finding **MQ-2025-002** in the Schedule of Findings and Responses for further details.

The sampled employees maintained adequate time and effort reporting documents by either tracking time in Colin, Maximo, PATS, or custom forms on an internal order or project basis or submitting Semi-Annual Certifications of Bond-Funded Work.

We identified ten instances of non-compliance with Procedure (c)(iv). Refer to finding **MQ-2025-002** in the Schedule of Findings and Responses for further details.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Q
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

2. PROCUREMENT OF CONTRACTS

Objective

Determine that the District procured Goods and Supplies Contracts in accordance with the District's Procurement Manual.

Scope

The scope covers contracts procured during the period of July 1, 2024, to June 30, 2025, in which the original funding strategy source assigned was Measure Q.

Procedures Performed

We selected 2 Goods and Supplies Contracts to determine the District procured the contracts in accordance with the applicable requirements of the Procurement Manual by testing the following for the selected contracts:

- i. We verified that a contract was established with required approvals.
- ii. We verified that a Fully Funded Shopping Cart was established, with the exception of Invitation for Bid (IFB) Contracts.
- iii. We verified that a Request for Procurement Action (RFPA) was established with required approvals.
- iv. We verified that a Formal Invitation for Bid was established, and a formal competition was conducted.
- v. We verified that the supporting documentation was included in the Informative for Board Review, such as the background on the suggested award along with details of usage and funding.
- vi. We verified that the contract award was properly authorized and approved by the Board.
- vii. For contracts established via Single/Sole Source, we verified the existence of a justification form with proof of approval by the designated officials.

Conclusions

The results of our tests indicated that the District procured the Goods and Supplies Contracts in accordance with the District's Procurement Manual.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Q
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

MQ-2025-001 – Indirect Cost Charges

Criteria

Indirect costs are associated with the bond program but should not or cannot be reasonably attributed to individual projects. These costs include the following:

- *Program Management:* Includes program level support costs for staff members of the Facilities Executive Office and FSD branches. Also includes activities that may be needed to prepare for Board review of project definitions such as surveying, master planning, standards development, and initial project scoping.
- *Non-FSD Support:* Includes costs of support staff outside of FSD, but funded by the bond program, such as the offices of the General Counsel, Inspector General, Procurement Services, Accounts Payable, Risk Management, and the Personnel Commission.
- *Other Indirect Costs:* Includes costs associated with bond issuance, professional services related to program needs, and bond program operating costs such as supplies, equipment, technology, and previously leased space for bond program staff.

Purchases associated with indirect costs that benefit both bond projects and non-bond projects should be allocated based on a proportional cost analysis that reflects the relative benefit to each program, ensuring an equitable distribution of expenditures.

Condition, Cause & Effect

In conjunction with Objective 1, Procedure (b)(i), of the non-payroll expenditures sampled, we identified the following:

1. Project Execution – Ascot ES - Checkers/Throwing Darts

Based on our review of 1 non-payroll expenditure charged to the bond funds for items such as checkers and throwing darts within the Ascot ES project, it was determined that these costs were not chargeable to the project allowance as originally recorded. The District indicated that the purchase would be reallocated through subsequent processing; however, as of the completion of audit fieldwork, the District had not provided evidence that the cost had been moved out of the bond fund, resulting in a reported exception of \$1,211.98.

2. Project Execution – Burroughs MS - Coffee/Supplies

Based on our review of 1 non-payroll expenditure sample charged to the bond funds for coffee and supply-related costs within the Burroughs MS project, it was determined that the invoice included office supplies and similar items, including ground coffee and a Ninja Blender. The District acknowledged that certain items were not allowable and should be backed out of the project cost; however, as of the completion of audit fieldwork, the District was still reviewing the expenditures in detail and had not finalized the amount to be moved out of the bond fund, resulting in a reported exception of \$6,043.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Q
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

MQ-2025-001 – Indirect Cost Charges *(continued)*

Condition, Cause & Effect *(continued)*

3. Information Technology Services Costs Allocation

Based on our review of 20 non-payroll expenditure samples charged to the bond funds for the Safety, Communications, and Security Modernization program, we identified instances in which Information Technology Services contractor and project administration expenditures were initially charged fully to bond funds, although it was identified that the contractors worked on both bond-funded and non-bond-funded activities and that time was being tracked based on IO numbers. The support provided indicated that bond and non-bond expenditures were to be distributed by Information Technology Services based on actual time worked. Based on our review, the invoices were recorded entirely to bond funds at the time of processing, and the related non-bond portion was not adjusted out of bond funds prior to June 30, 2025. The total costs associated with those invoices totaled \$124,999.06.

4. Office of Inspector General – Due Diligence Background Checks

Based on our review of 2 non-payroll expenditures charged to the bond funds for due diligence background check services prepared by the Office of Inspector General, it was determined that the related procurement actions did not fully support charging the costs to Measure Q, as one expenditure related to a contractor working on a non-bond funded project and the other related to a contractor working on both bond and non-bond contracts, resulting in a combined reported exception of \$2,231.46.

5. Architecture & Engineering Services at Facilities Maintenance & Operations – Invoice Authorization

Based on our review of 1 non-payroll expenditure charged to the bond funds within Architecture & Engineering Services at Facilities Maintenance & Operations, it was determined that the invoice was processed without sufficient evidence of review and approval by authorized District personnel. Specifically, the individual involved in authorizing the invoice could not be located on the District's authorized approver listing provided for audit. In addition, the expenditure lacked adequate evidence of authorized approval in accordance with established procedures.

6. Office of the Inspector General – Investigation Costs

Based on our review of 1 non-payroll expenditure charged to the bond funds for investigation-related costs incurred by the Office of the Inspector General, it was determined that the District was unable to provide documentation identifying the specific project or nature of the investigation to which the expenditure pertained. In support of the charge, the District provided a signed certification from the Interim Inspector General stating that the Office of the Inspector General reviewed the funding source for the projects related to the investigation through the District's COLIN system and confirmed that the funding source was Measure Q. However, due to the confidential nature of Office of the Inspector General investigations pursuant to California Education Code Section 35401, the District indicated that it was unable to provide any additional details regarding the investigation. As a result, although invoice and payment support were provided, we were unable to conclude whether the expenditure was bond permissible because sufficient supporting documentation was not available to verify bond eligibility.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Q
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

MQ-2025-001 – Indirect Cost Charges *(continued)*

Recommendation

We recommend the following to the District:

- a. Facilities Services Division - For items 1 and 2 identified in our finding, conduct a proportional cost analysis to evaluate the relative benefit that the indirect cost provides to both bond and non-bond projects. Additionally, adjust Measure Q's expenditure based on the proportional cost analysis conducted ensuring an equitable distribution of expenditures.
- b. Information Technology Services - For item 3 identified in our finding, conduct an allocation analysis based on the work performed by the contractors as reflected in their submitted invoices to determine the portion properly chargeable to bond-funded activities and non-bond-funded activities. Additionally, adjust each Measure Q's expenditure based on the allocation analysis conducted to ensure the expenditures charged to the bond funds are supported.
- c. Office of Inspector General - For item 4 identified in our finding, review the related procurement actions and determine whether those actions pertain to bond-funded or non-bond-funded projects. Based on that determination, adjust Measure Q's expenditure as necessary to ensure only costs associated with bond-funded procurement actions are charged to the bond funds.
- d. Architecture & Engineering Services at Facilities Maintenance & Operations – In related to item 5 identified in our finding, ensure invoices charged to the bond funds are reviewed and approved only by District personnel included on the authorized approver listing, and strengthen controls to prevent expenditures from being processed without evidence of such approval in accordance with established procedures.
- e. Office of Inspector General – For item 6 identified in our finding, Office of the Inspector General to establish policies and procedures requiring a formal certification process for investigation-related costs charged to the bond funds when the specific project cannot be disclosed due to confidentiality requirements. Such policies and procedures should require that the certification be prepared and retained as supporting documentation, identify the basis for determining the applicable bond fund, confirm that the related matter pertains to bond-funded activities, and be reviewed and approved through an established process before the expenditure is charged to the bond fund.
- f. Bond Compliance Unit - Provide training, guidance, and support to the impacted departments to ensure compliance with established policies and procedures in items (a) and (b).
- g. The District should establish policies and procedures regarding the use of bond funds for indirect costs, including (1) clear basis for establishing the budgeted indirect cost, (2) clear procedures and basis for establishing actual indirect costs charged, (3) clear reporting of indirect costs incurred, and (4) establishing indirect cost budgets within the Strategic Execution Plan(s), subject to approval by the Board of Education.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
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MQ-2025-001 – Indirect Cost Charges *(continued)*

Views of Responsible Officials and Planned Corrective Actions

a. Facilities Services Division

The FSD purchases were not acquired for non-bond purposes, and as the completed calculations show, most of the benefits were received by the bond program. Where purchases were intended to benefit both bond and non-bond programs, FSD apportioned the costs by the estimated benefit to each program. Although the auditor has questioned those apportionments, FSD feels that the estimates used were reasonable.

FSD is concerned that effort required to reallocate costs a year or more after the purchase is not a cost-effective method of apportionment and adversely affects planning when the costs to each program are unknown even after the purchase is made. Although it will have adverse consequences to the District's programs as a whole, the most efficient way of complying with this requirement is to simply reserve items purchased with bond funds to be used exclusively for bond funded purposes.

FSD will perform the following corrective actions in Fiscal Year 2026:

1. Project Execution – Ascot ES - Checkers/Throwing Darts

The District concurs with the finding that Measure Q was overcharged by \$1,211.98. FSD will adjust the MQ expenditures to remove unallowable charges from the bond fund.

2. Project Execution – Burroughs MS - Coffee/Supplies

The District concurs with the finding that Measure Q was overcharged and will finalize the amount to be moved in FY-26. FSD will adjust the MQ expenditures to remove unallowable charges from the bond fund.

- b. Information Technology Services - The cost allocations between bond and non-bond funding based on IOs have been processed in Fiscal Year 2026, along with the necessary journal vouchers (JVs) and PO repostings.
- c. Office of Inspector General - The OIG will adjust Measure Q expenditures for the non-payroll expenditures related to the OIG's due diligence activities totaling \$3,550.05.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
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SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

MQ-2025-001 – Indirect Cost Charges *(continued)*

Views of Responsible Officials and Planned Corrective Actions *(continued)*

- d. Architecture & Engineering Services at Facilities Maintenance & Operations – The District concurs that there was a lack of adherence to the Facilities bond approval process. FSD ratifies that these are proper expenditures and will conduct additional training on A/E Services approvals related to bond expenditures.
- e. Office of Inspector General - The OIG will include in our policies and procedures a process for documenting the bond eligibility of projects that cannot be disclosed due to confidentiality requirements. The documentation will be retained as supporting documentation before any related costs are charged to the bond fund.
- f. The Bond Compliance Unit will engage with impacted departments by June 30, 2026, to provide guidance and support to address compliance with established policies.
- g. The District will review and revise existing procedures in light of the recommendation to improve the budgeting, charging, and reporting of indirect costs and accountability thereof.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Q
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

MQ-2025-002 – Payroll Expenditure Charges

Criteria

District departments seeking approval of the use of Bond Funds for personnel costs must submit justification to the CFO's Bond Compliance Unit. The justification includes the title and duties of the position, the percentage of the position's total personnel costs which will be Bond-Funded, and documentation supporting the stated percentage. The CFO's Bond Compliance Unit is responsible for approving Bond-Funded positions by reviewing the submitted justification validating the need for the position and maintaining copies of the submitted supporting documentation.

FSD, ITS, and other department employees who were Measure Q funded classified employees, reporting time in Colin, Maximo, PATS, custom forms on an internal order or project basis, or other department-managed timekeeping systems, and whose time is charged to an "overhead" or "indirect" code, must maintain supporting documentation verifying that the payroll expenditures charged to Measure Q was based on actual time spent or a system in place to properly establish relevant metrics necessary to distinguish bond-funded versus non-bond-funded activities, on Measure Q related activities, and was not based on the originally budgeted percentage included in the justification submitted to the CFO's Bond Compliance Unit.

Payroll expenditures charged to Measure Q should be adjusted at the end of the year to reflect the actual time spent or a system in place to establish relevant metrics properly, not based on budgeted assumptions, necessary to distinguish bond-funded versus non-bond funded activities, on Measure Q related activities.

Condition, Cause & Effect

In conjunction with Objective 1, Procedure (c)(i) of the employees sampled, we identified the following:

- a. Based on our review of payroll documentation and interview results for one employee in Facilities Services Division, Project Execution, it was determined that the employee was charged 100% to Measure Q bond-funded project codes. However, based on our interview, the employee also performed non-bond work. In addition, the employee did not have access to non-bond related project codes, resulting in all hours worked, whether bond or non-bond, being charged solely to a bond project code. The District subsequently prepared an analysis and determined that 60 hours, totaling \$9,480 of payroll expenditures, should be adjusted from Measure Q.
- b. Based on our review of payroll documentation for one employee in Facilities Services Division, M&O Project Services Team, it was determined that the employee's payroll charges to Measure Q reflected 98% bond funding after year-end adjustments, while timesheet documentation reflected only 88% bond-related work. It was determined that 155 hours were incorrectly reported to the bond funds rather than charged to the designated Repair and Maintenance overhead project line. As a result, hours related to non-bond activity were charged to Measure Q. The District subsequently prepared an analysis and determined that 155 hours, totaling \$25,175.82 of payroll expenditures, should be adjusted from Measure Q.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Q
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

MQ-2025-002 – Payroll Expenditure Charges *(continued)*

Condition, Cause & Effect *(continued)*

- c. Based on our review of payroll documentation for one employee in Facilities Services Division, M&O Project Services Team, it was determined that the employee's payroll charges to Measure Q reflected 92% bond funding after year-end adjustments, while timesheet documentation reflected only 73% bond-related work. It was determined that 332 hours were incorrectly reported to the bond funds rather than charged to the designated Repair and Maintenance overhead project line. As a result, hours related to non-bond activity were charged to Measure Q. The District subsequently prepared an analysis and determined that 332 hours, totaling \$56,125.81 of payroll expenditures, should be adjusted from Measure Q.

In conjunction with Objective 1, Procedure (c)(iv) of the employees sampled, we identified the following:

- d. Based on our review of payroll documentation for three employees from the District's Personnel Commission department, it was determined that the employees' payroll charges to Measure Q were based on a fixed budgeted percentage. The department performed a subsequent analysis utilizing the percentage of bond funded work reported on the Semi-Annual Certifications submitted by all employees in the department. It was determined that Semi-Annual Certifications report budgeted information and therefore cannot be relied upon as a relevant metric for determining the employees' time spent on Measure Q related activities. This is a repeat finding for the department.
- e. Based on our review of payroll documentation for seven employees from the District's Office of Environmental Health and Safety (OEHS) department, it was determined that the employees' payroll charges to Measure Q were based on a fixed budgeted percentage. Departments who utilize a fixed budgeted percentage to charge an employee's payroll charges throughout the fiscal year to the bond funds should support these charges by conducting an analysis, prior to the closing of the books, of actual time spent during the year to adjust the bond funds accordingly.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Q
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

MQ-2025-002 – Payroll Expenditure Charges *(continued)*

Recommendation

We recommend the following to the District:

- a. Facilities Services Division: Adjust Measure Q's expenditures for the payroll expenditures related to the three Facilities Services Division observations identified in our findings.
- b. Facilities Services Division: FSD to provide training, guidance, and support to its internal departments regarding the proper charging of payroll expenditures to Measure Q, including ensuring employees performing both bond-funded and non-bond-funded activities have access to the appropriate project codes and overhead lines, and that payroll charges and year-end adjustments are based on actual time spent and supported timesheet documentation necessary to distinguish bond-funded versus non-bond-funded activities. Further, the District should ensure that personnel responsible for time reporting, reviewing, and approving such charges are present for the training.
- c. The CFO's Bond Compliance Unit to provide training, guidance, and support to the District's Personnel Commission and OEHS departments regarding the analysis of payroll expenditures charged to Measure Q against actual time spent or a system in place to properly establish relevant metrics, not based on budgeted assumptions, necessary to distinguish bond-funded versus non-bond funded activities, on Measure Q related activities. Further, the District should ensure that personnel responsible for making such decisions on behalf of the department are present for the training.
- d. The District's Personnel Commission and OEHS departments establish relevant metrics necessary to distinguish bond-funded versus non-bond funded activities, which are not based on budgeted assumptions, to make relative adjustments at the end of the year, as a result of the training provided by the CFO's Bond Compliance Unit.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Q
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

MQ-2025-002 – Payroll Expenditure Charges *(continued)*

Views of Responsible Officials and Planned Corrective Actions

- a. Facilities Services Division: FSD concurs with the findings that Measure Q was overcharged by Project Execution (\$9,480) and M&O Project Services Team (\$25,175.82 and \$56,125.81). FSD will adjust the amounts overcharged out of MQ related to payroll.
- b. Facilities Services Division: FSD will provide refresher training to its internal departments on proper time reporting of bond-funded and non-bond-funded activities. Remedial training will be provided for the three employees with findings.
- c. Bond Compliance Unit - The Bond Compliance Unit will engage with impacted departments by June 30, 2026, to provide guidance and support to address compliance with established policies.
- d. Personnel Commission

Our department implemented the use of Multi-Funded Timesheet on March 2026, and all employees are recording the time spent on bond activities daily.

Moving forward, the semi-annual certification forms will have actuals percentages spent on bonds activities and a summary of the percentages will be sent to Facilities. Per Anthony Durian, he will be preparing the true-up adjustments based on the data provided by our Financial Analyst.

OEHS

OEHS acknowledges the recommendations set forth by the auditors and has taken corrective action to strengthen time reporting practices, ensuring staff report actual time worked rather than relying on budgeted allocations.

OEHS conducted an analysis of FY 2024–2025 labor actuals and, in coordination with BCU, completed a bond realignment for 27 positions to better reflect actual workload distribution. To support accurate reporting, OEHS implemented enhancements within Maximo, including Bond-Only Work Orders and a project-specific tracking mechanism.

Additionally, OEHS provided targeted staff training on time reporting requirements and initiated retroactive COLIN corrections to align employee time reporting with updated bond designations. These corrections are in progress and expected to be completed by June 30, 2026.

OEHS has also implemented quarterly monitoring of bond actuals for FY 2025–2026 to ensure ongoing accuracy and compliance. OEHS remains committed to continuous improvement and will continue to partner with BCU to refine practical approaches for tracking and reporting metrics.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Q
PERFORMANCE AUDIT
SCHEDULE OF PRIOR YEAR FINDINGS AND RESPONSES
June 30, 2025**

MQ-2024-001 – Indirect Cost Charges

Recommendation

We recommend the following to the District:

- a. Adjust Measure Q's expenditures for the payroll and non-payroll expenditures related to the OIG's MiSiS security audit identified in our finding.
- b. Adjust Measure Q's expenditures for the non-payroll expenditures related to the OIG's due diligence activities, in accordance with the funding requirements provided by PSD, identified in our finding.
- c. Include in the OIG's policies and procedures guidelines ensuring that changes to its Board approved annual work plan, specifically for additional bond funded work, are brought back to the Board as an amendment to its annual work plan for approval.

Views of Responsible Officials and Planned Corrective Actions

- a. The OIG will adjust Measure Q's expenditures for the payroll and non-payroll expenditures related to the OIG's MiSiS security audit.
- b. The OIG will adjust Measure Q's expenditures for the non-payroll expenditures related to the OIG's due diligence activities identified in the audit.
- c. The OIG will include in our policies and procedures a provision requiring that all bond funded work be approved by the Board of Education. The policy will be in accordance with the OIG charter.

Current Status

- a. Implemented.
- b. Implemented.
- c. Not implemented. The OIG will incorporate this provision in the updated version of our policies and procedures. Target implementation date: 12/31/2026

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Q
PERFORMANCE AUDIT
SCHEDULE OF PRIOR YEAR FINDINGS AND RESPONSES
June 30, 2025**

MQ-2024-002 – Payroll Expenditure Charges

MQ-2023-001 – Payroll Expenditure Charges

Recommendation

We recommend the following to the District:

- a. The CFO's Bond Compliance Unit to provide training, guidance, and support to the District's Personnel Commission and OEHS departments regarding the analysis of payroll expenditures charged to Measure Q against actual time spent or a system in place to properly establish relevant metrics, not based on budgeted assumptions, necessary to distinguish bond-funded versus non-bond funded activities, on Measure Q related activities. Further, the District should ensure that personnel responsible for making such decisions on behalf of the department are present for the training.
- b. The District's Personnel Commission and OEHS departments to establish relevant metrics necessary to distinguish bond-funded versus non-bond funded activities, which are not based on budgeted assumptions, to make relative adjustments at the end of the year, as a result of the training provided by the CFO's Bond Compliance Unit.

Views of Responsible Officials and Planned Corrective Actions

- a. *Personnel Commission* - The District will provide training, guidance, and support to the Personnel Commission department so that the department may be able to distinguish bond-funded and non-bond-funded activities. The District will identify personnel responsible for making decisions over assigning bond and non-bond funded work within each department with repeat findings and ensure that they are present for the training.

OEHS - OEHS acknowledges the recommendation and will ensure that designated personnel responsible for bond-funded payroll decisions participate in the training provided by the CFO's Bond Compliance Unit. Additionally, OEHS will work collaboratively with the CFO's Bond Compliance Unit to refine payroll expenditure tracking methods for Measure Q activities.

- b. *Personnel Commission* - The District concurs with the finding over Personnel Commission funded with bond dollars. The District will develop relevant metrics for the department.

OEHS - OEHS acknowledges the complexity of distinguishing bond-funded versus non-bond-funded activities, as certain work functions do not align neatly to a particular project line. OEHS will collaborate with the CFO's Bond Compliance Unit to explore methodologies that enhance transparency in tracking time allocations. While existing processes are designed to ensure compliance, OEHS will review potential refinements in alignment with the guidance provided during training.

Current Status

- a. Implemented.
- b. Not implemented. Refer to the current year finding at **MQ-2025-002**, along with the department's updated corrective action plan.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Y
PERFORMANCE AUDIT
JUNE 30, 2025**



**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Y
PERFORMANCE AUDIT
June 30, 2025**

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Independent Auditor's Report

The Honorable Board of Education and
School Construction Bond Citizens' Oversight Committee
Los Angeles Unified School District

We have conducted a performance audit of the Los Angeles Unified School District's (the District), **Measure Y School Bond Construction Program** for the year ended June 30, 2025.

We conducted this performance audit in accordance with *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain sufficient, appropriate evidence to provide a reasonable basis for our findings and conclusions based on our audit objectives. We believe that the evidence obtained provides a reasonable basis for our findings and conclusions based on our audit objectives.

Our audit was limited to the objectives listed on page 4 of this report which includes determining the District's compliance with the performance requirements for the Proposition 39 Measure Y General Obligation Bonds and outlined in Article XIII A, Section 1(b)(3)(C) of the California Constitution. Management is responsible for the District's compliance with those requirements.

In planning and performing our performance audit, we obtained an understanding of the District's internal control to determine if the internal controls were adequate to help ensure the District's compliance with the requirements of Proposition 39 and outlined in Article XIII A, Section 1(b)(3)(C) of the California Constitution, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

The results of our tests indicated that the District expended Measure Y School Bond Construction Program funds only for the specific projects approved by the voters, in accordance with Proposition 39 and outlined in Article XIII A, Section 1(b)(3)(C) of the California Constitution.

Los Angeles, California
April 24, 2026

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Y
PERFORMANCE AUDIT
LEGISLATIVE HISTORY
June 30, 2025**

On November 7, 2000, California voters approved Proposition 39, the *Smaller Classes, Safer Schools and Financial Accountability Act*. Proposition 39 amended portions of the California Constitution to provide for the issuance of general obligation bonds by school districts, “for the construction, reconstruction, rehabilitation or replacement of school facilities, including the furnishing and equipping of school facilities, or the acquisition or lease of real property for school facilities”, upon approval by 55% of the electorate. Additional accountability measures, as stipulated in Education Code Section 15278 – 15282, and 15286, are as follows:

1. A requirement that the school district establish and appoint members to an independent citizens’ oversight committee.
2. A requirement that the proceeds from the sale of the bonds be used only for the purposes described in Article XIII A, Section 1(b)(3)(A) of the California Constitution and ensuring that no funds are used for any teacher or administrative salaries or other school operating expenses.
3. A requirement that the school district list the specific school facilities projects to be funded and certification that the school district board has evaluated safety, class size reduction, and information technology needs in developing that list.
4. A requirement that the school district conduct an annual independent performance audit, in accordance with Government Auditing Standards issued by the Comptroller General of the United States, required by Article XIII A, Section 1(b)(3)(C) of the California Constitution, ensuring that the funds have been expended only on the specific projects listed.
5. A requirement that the school district conduct an annual independent financial audit, in accordance with Government Auditing Standards issued by the Comptroller General of the United States, required by Article XIII A, Section 1(b)(3)(D) of the California Constitution, of the proceeds from the sale of the bonds until all of those proceeds have been expended for the school facilities projects.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Y
PERFORMANCE AUDIT
MEASURE Y GENERAL OBLIGATION BONDS
June 30, 2025**

The Measure Y School Bond Construction Program (Measure Y) or "the Safe and Healthy Neighborhood Schools Repair and Construction Measure of 2005" approved by the voters under California Proposition 39, known as the *Smaller Classes, Safer Schools and Financial Accountability Act* (Prop 39), is intended to provide the Los Angeles Unified School District (the District) funding to continue the repair and modernization of existing schools, replace bungalows with permanent classrooms, abate asbestos hazards, upgrade fire and safety systems, expand early education facilities, and provide sufficient core facilities at hundreds of schools.

The Board of Education (the Board) has established a School Construction Bond Citizens' Oversight Committee to ensure that the proceeds of Measure Y's bond issuances are used for the purposes stated in the Board Resolution (the Resolution), which placed Measure Y on the 2005 ballot.

The proceeds from Measure Y are to be used for projects such as the following:

- build neighborhood schools;
- bungalow repair and removal;
- upgrade and redesign campuses to create smaller schools;
- install and upgrade fire alarm systems;
- undertake complete asbestos hazard removal program;
- air condition remaining non-air-conditioned buildings;
- perform school alterations and improvements;
- upgrade and reinforce computer networks, school information systems, and technology capability;
- upgrade emergency radio systems;
- build new and repair existing early education centers in neediest areas;
- promote alternative education models like joint use and small learning communities;
- build, plan, and equip charter schools;
- replace all special education buses;
- give low performing schools added resources to improve results;
- audit and oversight of bond projects; and
- open new schools with a sufficient number of library books.

All projects to be funded under Measure Y must be included in the Strategic Execution Plans (SEPs) approved by the Board. The District has established General Obligation Bond Charging Guidelines to outline the allowable expenditures for Measure Y. Such guidelines specifically state that no funds will be spent for teacher, administrator salaries or for school operating expenses.

The Measure Y initiative authorized the issuance of \$3.985 billion in bonds. \$3.985 billion has since been issued between November 2005 and June 2022. The bonds are included in the audited financial statements of the District.

The District tracks the financial activities related to Measure Y in the District Bonds Fund. The District Bonds Fund is comprised of multiple funds in the District's Audited Comprehensive Financial Report (ACFR).

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Y
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

OBJECTIVES OF THE AUDIT

The following represents the objectives of our performance audit:

1. Bond Expenditures and Recordkeeping

Determine that the District expended Measure Y funds for the year ended June 30, 2025, only for the purpose approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution.

2. Procurement of Contracts/Agreements

Determine that the District procured Goods and Supplies Contracts in accordance with the District's Procurement Manual.

The scope, methodology, and conclusions of the above objectives are enumerated on pages 5 through 9 of this report.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Y
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING

Objective

Determine that the District expended Measure Y funds for the year ended June 30, 2025, only for the purpose approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution.

Scope

The scope covers the period from July 1, 2024, to June 30, 2025. The population of expenditures tested includes object codes and specific projects associated with Measure Y.

A total of \$16.6 million in expenditures were identified for fiscal year ended June 30, 2025, which consists of the following (thousands):

Non-Payroll Expenditures:	
Books and supplies	\$ 96
Services and other operating expenditures	284
Capital outlay	<u>9,114</u>
<i>Total non-payroll expenditures</i>	<u>9,494</u>
Payroll Expenditures:	
Classified salaries	432
Employee benefits	<u>240</u>
<i>Total payroll expenditures</i>	<u>672</u>
Other Financing Uses:	
Transfers out	<u>6,456</u>
<i>Total other financing uses</i>	<u>6,456</u>
Total Measure Y Expenditures per ACFR - District Bonds Fund	<u>\$ 16,622</u>

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Y
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING *(continued)*

a. Procedure Performed

We obtained a general ledger report prepared by the District detailing balances for all funds which made up the District Bonds Fund to reconcile the totals to the balances reported as of June 30, 2025, in the AACR. We extracted from the general ledger report all activities pertaining to Measure Y, Fund 214, as of June 30, 2025.

Conclusion

The results of our test indicated that all Measure Y expenditure balances reconciled to the District Bonds Fund reported in the ACFR.

b. Procedures Performed

We selected a total of 34 individual invoices (sampled project expenditures) representing non-payroll expenditures amounting to \$4.6 million or 48.4% of the total population of non-payroll expenditures. We obtained the original invoices and other relevant supporting documentation for expenditures sampled to determine compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and Measure Y's approved specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments. We performed the following procedures:

- i. Determined that the sampled project expenditures were in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and were consistent with the work scope of Measure Y's Resolution as presented to the voters and further defined by various Board approved SEPs and amendments.
- ii. Determined that the sampled project expenditures were not expended on school operating expenditures.
- iii. Verified that the appropriate District personnel had approved and reviewed all sampled project expenditures before payment was made.
- iv. Verified that corresponding projects or non-project allocations in each of the sampled project expenditures were included in the cumulative and various SEPs and amendments. For invoices which covered multiple projects, up to 5 projects were selected and tested.
- v. For sampled project expenditures representing Facilities Services Division (FSD) related construction payments, we verified construction project payment procedures had been met by testing the following:
 - The Contractor certified the Application for Payment by evidence of a signature. The Owner Authorized Representative (OAR) certified that the services had been rendered by evidence of a signature.
 - The payment package included the Encumbrance/Payment request form, the Application for Payment, the Owner Assessment Summary, and other necessary supporting documents.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Y
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING *(continued)*

Conclusions

We identified one instance of non-compliance with Procedure (b)(i). Refer to finding **MY-2025-001** in the Schedule of Findings and Responses for further details.

Facilities Services Division (FSD) issued its most recent Board approved SEP in 2024, which was used for testing. Expenditures pertaining to projects not listed in the 2024, or prior years, SEP's were tested in accordance with the board approved SEP amendments.

Additionally, the non-payroll expenditures were properly approved and reviewed by District personnel, along with construction payments adhering to construction project payment procedures.

c. Procedures Performed

We selected a total of 4 employees' payroll expenditures (sampled employees) for the entire fiscal year, amounting to \$27.4K of the total population of payroll expenditures. We performed the following procedures:

- i. Determined that the sampled employees' payroll expenditures were in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and were consistent with the work scope of Measure Y's Resolution as presented to the voters and further defined by various Board approved SEPs and amendments.
- ii. Verified, based on interviews with the sampled employees, the work conducted in connection with the time charged to Measure Y was in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution, and was not related to teacher or school administrative activities.
- iii. Verified that the District maintained adequate time and effort reporting controls and procedures for regular review of appropriate charges to Measure Y by testing the following:
 - Sampled employees maintained a multi-funded timesheet, or
 - Sampled employees' Semi-Annual Certification Forms of Bond-Funded Work (Certification) were submitted to the Office of Chief Financial Officer's (CFO) Bond Compliance Unit in accordance with the District's Bulletin BUL-6521.2 dated December 17, 2021, for the entire fiscal year.
- iv. For employees who submitted a Certification with a "% of Regular Time Spent on Bond-Eligible Projects/Activities" under 100% or whose time was not tracked on a project basis, we determined that payroll expenditures were based on the time associated with actual activities performed on Measure Y, and not based on a predetermined budgeted rate/allocation, by reviewing supporting documentation to verify that payroll expenditures charged to Measure Y were based on actual time spent on Measure Y related activities.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Y
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING *(continued)*

Conclusions

The results of our tests indicated that the sampled payroll expenditures were properly expended only for the purposes approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution and were not expended on teacher or school administrative activities.

Facilities Services Division (FSD) issued its most recent Board approved SEP in 2024, which was used for testing. Expenditures pertaining to projects not listed in the 2024, or prior years, SEP's were tested in accordance with the board approved SEP amendments.

The sampled employees maintained adequate time and effort reporting documents by either tracking time in Colin, Maximo, PATS, or custom forms on an internal order or project basis or submitting Semi-Annual Certifications of Bond-Funded Work.

For employees who submitted a Certification with a "% of Regular Time Spent on Bond-Eligible Projects/Activities" under 100% or whose time was not tracked on a project basis, the results of our tests indicated that payroll expenditures were based on the time associated with actual activities performed on Measure Y, and not based on a predetermined budgeted rate/allocation, by reviewing supporting documentation which verified that payroll expenditures charged to Measure Y were based on actual time spent on Measure Y related activities.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Y
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

2. PROCUREMENT OF CONTRACTS/AGREEMENTS

Objective

Determine that the District procured Goods and Supplies Contracts in accordance with the District's Procurement Manual.

Scope

The scope covers contracts procured during the period of July 1, 2024, to June 30, 2025, in which the original funding strategy source assigned was Measure Y.

Procedures Performed

We selected 1 Goods and Supplies Contract to determine the District procured the contract in accordance with the applicable requirements of the Procurement Manual by testing the following for the selected contract:

- i. We verified that a contract was established with required approvals.
- ii. We verified that a Fully Funded Shopping Cart was established, with the exception of Invitation for Bid (IFB) Contracts.
- iii. We verified that a Request for Procurement Action (RFPA) was established with required approvals.
- iv. We verified that a Formal Invitation for Bid was established, and a formal competition was conducted.
- v. We verified that the supporting documentation was included in the Informative for Board Review, such as the background on the suggested award along with details of usage and funding.
- vi. We verified that the contract award was properly authorized and approved by the Board.
- vii. For contracts established via Single/Sole Source, we verified the existence of a justification form with proof of approval by the designated officials.

Conclusions

The results of our tests indicated that the District procured the Goods and Supplies Contracts in accordance with the District's Procurement Manual.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Y
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

MY-2025-001 – Indirect Cost Charges

Criteria

Indirect costs are associated with the bond program but should not or cannot be reasonably attributed to individual projects. These costs include the following:

- *Program Management*: Includes program level support costs for staff members of the Facilities Executive Office and FSD branches. Also includes activities that may be needed to prepare for Board review of project definitions such as surveying, master planning, standards development, and initial project scoping.
- *Non-FSD Support*: Includes costs of support staff outside of FSD, but funded by the bond program, such as the offices of the General Counsel, Inspector General, Procurement Services, Accounts Payable, Risk Management, and the Personnel Commission.
- *Other Indirect Costs*: Includes costs associated with bond issuance, professional services related to program needs, and bond program operating costs such as supplies, equipment, technology, and previously leased space for bond program staff.

Purchases associated with indirect costs that benefit both bond projects and non-bond projects should be allocated based on a proportional cost analysis that reflects the relative benefit to each program, ensuring an equitable distribution of expenditures.

Condition, Cause & Effect

In conjunction with Objective 1, Procedure (b)(i), of the non-payroll expenditures sampled, we identified the following:

1. Program Management / Job Order Contracting – Gordian

Based on our review of 1 non-payroll expenditure charged to the bond funds for Gordian Job Order Contracting program management services, it was determined that the bond-funded allocation included costs associated with both bond and non-bond projects. Although the District later provided support indicating that some of the underlying projects were not bond funded and that the bond funds would need to be adjusted, the true-up had not been processed during the fiscal year. Accordingly, the expenditure charged to the bond funds was not fully supported by the final bond/non-bond proportional analysis, resulting in a reported exception of \$14,434.13.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Y
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

MY-2025-001 – Indirect Cost Charges *(continued)*

Recommendation

We recommend the following to the District:

- a. Facilities Services Division - For each of the purchase identified in our finding, conduct a proportional cost analysis to evaluate the relative benefit that the indirect cost provides to both bond and non-bond projects. Additionally, adjust Measure Y's expenditure based on the proportional cost analysis conducted ensuring an equitable distribution of expenditures.
- b. Bond Compliance Unit - Provide training, guidance, and support to the impacted departments to ensure compliance with established policies and procedures in items (a).
- c. The District should establish policies and procedures regarding the use of bond funds for indirect costs, including (1) clear basis for establishing the budgeted indirect cost, (2) clear procedures and basis for establishing actual indirect costs charged, (3) clear reporting of indirect costs incurred, and (4) establishing indirect cost budgets within the Strategic Execution Plan(s), subject to approval by the Board of Education.

Views of Responsible Officials and Planned Corrective Actions

- a. Facilities Services Division

The FSD purchases were not acquired for non-bond purposes, and as the completed calculations show, most of the benefits were received by the bond program. Where purchases were intended to benefit both bond and non-bond programs, FSD apportioned the costs by the estimated benefit to each program. Although the auditor has questioned those apportionments, FSD feels that the estimates used were reasonable.

FSD is concerned that effort required to reallocate costs a year or more after the purchase is not a cost-effective method of apportionment and adversely affects planning when the costs to each program are unknown even after the purchase is made. Although it will have adverse consequences to the District's programs as a whole, the most efficient way of complying with this requirement is to simply reserve items purchased with bond funds to be used exclusively for bond funded purposes.

FSD will perform the following corrective actions in Fiscal Year 2026:

1. Program Management / Job Order Contracting - Gordian

The District concurs with the finding that Measure Y was overcharged by \$14,434.13. The District finalized the proportional cost analysis for this item and will adjust the MY expenditure in FY-26.

- b. Bond Compliance Unit - The Bond Compliance Unit will engage with impacted departments by June 30, 2026, to provide guidance and support to address compliance with established policies.
- c. The District will review and revise existing procedures in light of the recommendation to improve the budgeting, charging, and reporting of indirect costs and accountability thereof.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Y
PERFORMANCE AUDIT
SCHEDULE OF PRIOR YEAR FINDINGS AND RESPONSES
June 30, 2025**

MY-2024-001 – Indirect Cost Charges

Recommendation

We recommend the following to the District:

The Gordian Group

- d. For each of the purchases identified in our finding, conduct a proportional cost analysis to evaluate the relative benefit that the indirect cost provides to both bond and non-bond projects.
- e. Adjust Measure Y's expenditure based on the proportional cost analysis conducted in item (a) ensuring an equitable distribution of expenditures.
- f. Include in the District's bond policies and procedures guidelines ensuring purchases associated with indirect costs benefiting both bond projects and non-bond projects are allocated based on a proportional cost analysis that reflects the relative benefit to each program, ensuring an equitable distribution of expenditures, and that all relevant documentation supporting the analysis is maintained by the originating department.
- g. Provide training, guidance, and support to the impacted departments to ensure compliance with established policies and procedures in item (c).

ITS

- a. For the purchases identified in our finding, provide complete documentation regarding the proportional cost analysis to evaluate the relative benefit that the indirect cost provides to both bond and non-bond projects.
- b. Adjust Measure Y's expenditure based on the proportional cost analysis conducted in item (a) ensuring an equitable distribution of expenditures, if necessary.
- c. Include in the District's bond policies and procedures guidelines ensuring purchases associated with indirect costs benefiting both bond projects and non-bond projects are allocated based on a proportional cost analysis that reflects the relative benefit to each program, ensuring an equitable distribution of expenditures, and that all relevant documentation supporting the analysis is maintained by the originating department. Further, documentation pertaining to the budget, rationale, and analysis of indirect costs should be retained for auditing purposes.
- d. Provide training, guidance, and support to the impacted departments to ensure compliance with established policies and procedures in item (c).

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Y
PERFORMANCE AUDIT
SCHEDULE OF PRIOR YEAR FINDINGS AND RESPONSES
June 30, 2025**

MY-2024-001 – Indirect Cost Charges *(continued)*

Views of Responsible Officials and Planned Corrective Actions

The Gordian Group

- a. The District concurs with the finding over the license renewal for The Gordian Group, Inc. on purchase order number 4500526389. Of the total \$178,500 charged to Measure Y, 4.16% or \$7,433.40, was for non-bond projects.
- b. The District will process the necessary corrections for the overcharge to Measure Y in FY25.
- c. The District will develop bond policies and procedures over indirect cost purchases benefiting bond and non-bond projects.
- d. The District will provide training, guidance, and support to the impacted departments to ensure compliance with item (c).

ITS

- a. ITS provided documentation regarding the Soto re-configuration that supported the proportional cost breakdown but will work with Bond Compliance Unit to explore alternative options that more clearly verify the bond/general fund cost allocation.
- b. ITS believes the bond was charged appropriately but will make any necessary adjustments.
- c. ITS agrees to adhere to all District bond policies and procedures and follow any documentation guidelines set forth by the Bond Compliance Unit. Further, ITS will retain all records pertaining to the budget, rationale, and analysis of indirect costs for auditing purposes.
- d. ITS will actively participate in any bond training sessions offered regarding compliance with bond policies and procedures.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE Y
PERFORMANCE AUDIT
SCHEDULE OF PRIOR YEAR FINDINGS AND RESPONSES
June 30, 2025**

MY-2024-001 – Indirect Cost Charges *(continued)*

Current Status

The Gordian Group

- a. Implemented.
- b. Implemented.
- c. Not implemented. This item is still ongoing. There was not enough time between the conclusion of the FY-24 audit in March 2025 and the beginning of the FY-25 financial audit in July 2025 for the District to develop the appropriate policies and procedures.
- d. Implemented.

ITS

- a. Not implemented. During the current year audit testing, the District provided the same documentation that had been provided in the prior year regarding the Soto re-configuration cost allocation. As a result, we were still unable to conclude whether the documentation more clearly verified the bond/general fund cost allocation, as contemplated in the prior year planned corrective action. Accordingly, we recommend that the District continue working with the Bond Compliance Unit to conduct a more thorough review in Fiscal Year 2026 and develop updated supporting documentation to substantiate the allocation methodology and any adjustments, if necessary.
- b. Not implemented. As noted in item (a), the District provided the same documentation that had been provided in the prior year regarding the Soto re-configuration cost allocation, and we were therefore still unable to conclude that the bond/general fund allocation was adequately supported. Accordingly, any necessary adjustments will be assessed based on the resolution of item (a).
- c. Not implemented. ITS updated the documentation regarding the Soto re-configuration, which supported the proportional cost breakdown; however, the documentation was not submitted timely enough to allow for sufficient audit review. As a result, the documentation will be reviewed as part of the Fiscal Year 2026 audit.
- d. Implemented.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE R
PERFORMANCE AUDIT
JUNE 30, 2025**



**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE R
PERFORMANCE AUDIT
June 30, 2025**

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Independent Auditor's Report

The Honorable Board of Education and
School Construction Bond Citizens' Oversight Committee
Los Angeles Unified School District

We have conducted a performance audit of the Los Angeles Unified School District's (the District), **Measure R School Bond Construction Program** for the year ended June 30, 2025.

We conducted this performance audit in accordance with *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain sufficient, appropriate evidence to provide a reasonable basis for our findings and conclusions based on our audit objectives. We believe that the evidence obtained provides a reasonable basis for our findings and conclusions based on our audit objectives.

Our audit was limited to the objectives listed on page 4 of this report which includes determining the District's compliance with the performance requirements for the Proposition 39 Measure R General Obligation Bonds and outlined in Article XIII A, Section 1(b)(3)(C) of the California Constitution. Management is responsible for the District's compliance with those requirements.

In planning and performing our performance audit, we obtained an understanding of the District's internal control to determine if the internal controls were adequate to help ensure the District's compliance with the requirements of Proposition 39 and outlined in Article XIII A, Section 1(b)(3)(C) of the California Constitution, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

The results of our tests indicated that the District expended Measure R School Bond Construction Program funds only for the specific projects approved by the voters, in accordance with Proposition 39 and outlined in Article XIII A, Section 1(b)(3)(C) of the California Constitution.

Los Angeles, California
April 24, 2026

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE R
PERFORMANCE AUDIT
LEGISLATIVE HISTORY
June 30, 2025**

On November 7, 2000, California voters approved Proposition 39, the *Smaller Classes, Safer Schools and Financial Accountability Act*. Proposition 39 amended portions of the California Constitution to provide for the issuance of general obligation bonds by school districts, “for the construction, reconstruction, rehabilitation or replacement of school facilities, including the furnishing and equipping of school facilities, or the acquisition or lease of real property for school facilities”, upon approval by 55% of the electorate. Additional accountability measures, as stipulated in Education Code Section 15278 – 15282, and 15286, are as follows:

1. A requirement that the school district establish and appoint members to an independent citizens’ oversight committee.
2. A requirement that the proceeds from the sale of the bonds be used only for the purposes described in Article XIII A, Section 1(b)(3)(A) of the California Constitution and ensuring that no funds are used for any teacher or administrative salaries or other school operating expenses.
3. A requirement that the school district list the specific school facilities projects to be funded and certification that the school district board has evaluated safety, class size reduction, and information technology needs in developing that list.
4. A requirement that the school district conduct an annual independent performance audit, in accordance with Government Auditing Standards issued by the Comptroller General of the United States, required by Article XIII A, Section 1(b)(3)(C) of the California Constitution, ensuring that the funds have been expended only on the specific projects listed.
5. A requirement that the school district conduct an annual independent financial audit, in accordance with Government Auditing Standards issued by the Comptroller General of the United States, required by Article XIII A, Section 1(b)(3)(D) of the California Constitution, of the proceeds from the sale of the bonds until all of those proceeds have been expended for the school facilities projects.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE R
PERFORMANCE AUDIT
MEASURE R GENERAL OBLIGATION BONDS
June 30, 2025**

The Measure R School Bond Construction Program (Measure R) or "the Safe and Healthy Neighborhood Schools Repair and Construction Measure of 2004" approved by the voters under California Proposition 39, known as the *Smaller Classes, Safer Schools and Financial Accountability Act* (Prop 39), is intended to provide the Los Angeles Unified School District (the District) funding for continued improvement to schools and to provide an additional 163,233 new seats for children and to build approximately 50 new neighborhood schools.

The Board of Education (the Board) has established a School Construction Bond Citizens' Oversight Committee to ensure that the proceeds of Measure R's bond issuances are used for the purposes stated in the Board Resolution (the Resolution), which placed Measure R on the 2004 ballot.

The proceeds from the Measure R School Bonds are to be used for projects such as:

- continue repair/upgrade of aging classrooms, and restrooms;
- build neighborhood schools, and early education centers;
- improve security systems, and fire/earthquake safety;
- purchase library books;
- upgrade computer technology;
- eliminate asbestos and lead paint hazards;
- create small learning communities; and
- construct/upgrade science laboratories and other buildings.

All projects to be funded under Measure R must be included in the Strategic Execution Plans (SEPs) approved by the Board. The District has established General Obligation Bond Charging Guidelines to outline the allowable expenditures for Measure R. Such guidelines specifically state that no funds will be spent for teacher, administrator salaries or for school operating expenses.

The Measure R initiative authorized the issuance of \$3.87 billion in bonds. \$3.87 billion has been issued between March 2004 and June 2022. The bonds are included in the audited financial statements of the District.

The District tracks the financial activities related to Measure R in the District Bonds Fund. The District Bonds Fund is comprised of multiple funds in the District's Audited Comprehensive Financial Report (ACFR).

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE R
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

OBJECTIVES OF THE AUDIT

The following represents the objectives of our performance audit:

1. Bond Expenditures and Recordkeeping

Determine that the District expended Measure R funds for the year ended June 30, 2025, only for the purpose approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution.

The scope, methodology, and conclusions of the above objectives are enumerated in pages 5 through 8 of this report.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE R
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING

Objective

Determine that the District expended Measure R funds for the year ended June 30, 2025, only for the purpose approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution.

Scope

The scope covers the period from July 1, 2024, to June 30, 2025. The population of expenditures tested includes object codes and specific projects associated with Measure R.

A total of \$4.8 million in expenditures were identified for fiscal year ended June 30, 2025, which consists of the following (thousands):

Non-Payroll Expenditures:	
Books and supplies	\$ 19
Services and other operating expenditures	850
Capital outlay	<u>2,843</u>
<i>Total non-payroll expenditures</i>	<u>3,712</u>
Payroll Expenditures:	
Classified salaries	338
Employee benefits	<u>192</u>
<i>Total payroll expenditures</i>	<u>530</u>
Other Financing Uses:	
Transfers out	<u>521</u>
<i>Total other financing uses</i>	<u>521</u>
Total Measure R Expenditures per ACFR - District Bonds Fund	<u>\$ 4,763</u>

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE R
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING *(continued)*

a. Procedure Performed

We obtained a general ledger report prepared by the District detailing balances for all funds which made up the District Bonds Fund to reconcile the totals to the balances reported as of June 30, 2025, in the ACFR. We extracted from the general ledger report all activities pertaining to Measure R, Fund 210, as of June 30, 2025.

Conclusion

The results of our test indicated that all Measure R expenditure balances reconciled to the District Bonds Fund reported in the ACFR.

b. Procedures Performed

We selected a total of 23 individual invoices (sampled project expenditures) representing non-payroll expenditures amounting to \$1.7 million or 45.9% of the total population of non-payroll expenditures.

We obtained the original invoices and other relevant supporting documentation for expenditures sampled to determine compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and Measure R's approved specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments. We performed the following procedures:

- i. Determined that the sampled project expenditures were in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and were consistent with the work scope of Measure R's Resolution as presented to the voters and further defined by various Board approved SEPs and amendments.
- ii. Determined that the sampled project expenditures were not expended on school operating expenditures.
- iii. Verified that the appropriate District personnel had approved and reviewed all sampled project expenditures before payment was made.
- iv. Verified that corresponding projects or non-project allocations in each of the sampled project expenditures were included in the cumulative and various SEPs and amendments. For invoices which covered multiple projects, up to 5 projects were selected and tested.
- v. For sampled project expenditures representing Facilities Services Division (FSD) related construction payments, we verified construction project payment procedures had been met by testing the following:
 - The Contractor certified the Application for Payment by evidence of a signature.
 - The Owner Authorized Representative (OAR) certified that the services had been rendered by evidence of a signature.
 - The payment package included the Encumbrance/Payment request form, the Application for Payment, the Owner Assessment Summary, and other necessary supporting documents.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE R
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING *(continued)*

Conclusions

The results of our tests indicated that sampled non-payroll expenditures were properly expended only for the purposes approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution and were not expended on school operating expenditures.

Facilities Services Division (FSD) issued its most recent Board approved SEP in 2024, which was used for testing. Expenditures pertaining to projects not listed in the 2024, or prior years, SEP's were tested in accordance with the board approved SEP amendments.

Additionally, the non-payroll expenditures were properly approved and reviewed by District personnel, along with construction payments adhering to construction project payment procedures.

c. Procedures Performed

We selected a total of 3 employees' payroll expenditures (sampled employees) for the entire fiscal year amounting to \$19.7K of the total population of payroll expenditures. We performed the following procedures:

- i. Determined that the sampled employees' payroll expenditures were in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and were consistent with the work scope of Measure R's Resolution as presented to the voters and further defined by various Board approved SEPs and amendments.
- ii. Verified, based on interviews with the sampled employees, the work conducted in connection with the time charged to Measure R was in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution, and was not related to teacher or school administrative activities.
- iii. Verified that the District maintained adequate time and effort reporting controls and procedures for regular review of appropriate charges to Measure R by testing the following:
 - Sampled employees maintained a multi-funded timesheet, or
 - Sampled employees' Semi-Annual Certification Forms of Bond-Funded Work (Certification) were submitted to the Office of the Chief Financial Officer's (CFO) Bond Compliance Unit in accordance with the District's Bulletin BUL-6521.2 dated December 17, 2021, for the entire fiscal year.
- iv. For employees who submitted a Certification with a "% of Regular Time Spent on Bond-Eligible Projects/Activities" under 100% or whose time was not tracked on a project basis, we determined that payroll expenditures were based on the time associated with actual activities performed on Measure R, and not based on a predetermined budgeted rate/allocation, by reviewing supporting documentation to verify that payroll expenditures charged to Measure R were based on actual time spent on Measure R related activities.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE R
PERFORMANCE AUDIT
OBJECTIVES, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING *(continued)*

Conclusions

The results of our tests indicated that the sampled payroll expenditures were properly expended only for the purposes approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution and were not expended on teacher or school administrative activities.

Facilities Services Division (FSD) issued its most recent Board approved SEP in 2024, which was used for testing. Expenditures pertaining to projects not listed in the 2024, or prior years, SEP's were tested in accordance with the board approved SEP amendments.

The sampled employees maintained adequate time and effort reporting documents by either tracking time in Colin, Maximo, PATS, or custom forms on an internal order or project basis or submitting Semi-Annual Certifications of Bond-Funded Work.

For employees who submitted a Certification with a “% of Regular Time Spent on Bond-Eligible Projects/Activities” under 100% or whose time was not tracked on a project basis, the results of our tests indicated that payroll expenditures were based on the time associated with actual activities performed on Measure R, and not based on a predetermined budgeted rate/allocation, by reviewing supporting documentation which verified that payroll expenditures charged to Measure R were based on actual time spent on Measure R related activities.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE R
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

No matters were reported.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE R
PERFORMANCE AUDIT
SCHEDULE OF PRIOR YEAR FINDINGS AND RESPONSES
June 30, 2025**

MR-2024-001 – Indirect Cost Charges

Recommendation

We recommend the following to the District:

- a. For the purchases identified in our finding, provide complete documentation regarding the proportional cost analysis to evaluate the relative benefit that the indirect cost provides to both bond and non-bond projects.
- b. Adjust Measure R's expenditure based on the proportional cost analysis conducted in item (a) ensuring an equitable distribution of expenditures, if necessary.
- c. Include in the District's bond policies and procedures guidelines ensuring purchases associated with indirect costs benefiting both bond projects and non-bond projects are allocated based on a proportional cost analysis that reflects the relative benefit to each program, ensuring an equitable distribution of expenditures, and that all relevant documentation supporting the analysis is maintained by the originating department. Further, documentation pertaining to the budget, rationale, and analysis of indirect costs should be retained for auditing purposes.
- d. Provide training, guidance, and support to the impacted departments to ensure compliance with established policies and procedures in item (c).

Views of Responsible Officials and Planned Corrective Actions

- a. ITS provided documentation regarding the Soto re-configuration that supported the proportional cost breakdown but will work with Bond Compliance Unit to explore alternative options that more clearly verify the bond/general fund cost allocation.
- b. ITS believes the bond was charged appropriately but will make any necessary adjustments.
- c. ITS agrees to adhere to all District bond policies and procedures and follow any documentation guidelines set forth by the Bond Compliance Unit. Further, ITS will retain all records pertaining to the budget, rationale, and analysis of indirect costs for auditing purposes.
- d. ITS will actively participate in any bond training sessions offered regarding compliance with bond policies and procedures.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE R
PERFORMANCE AUDIT
SCHEDULE OF PRIOR YEAR FINDINGS AND RESPONSES
June 30, 2025**

MR-2024-001 – Indirect Cost Charges *(continued)*

Current Status

- a. Not implemented. During the current year audit testing, the District provided the same documentation that had been provided in the prior year regarding the Soto re-configuration cost allocation. As a result, we were still unable to conclude whether the documentation more clearly verified the bond/general fund cost allocation, as contemplated in the prior year planned corrective action. Accordingly, we recommend that the District continue working with the Bond Compliance Unit to conduct a more thorough review in Fiscal Year 2026 and develop updated supporting documentation to substantiate the allocation methodology and any adjustments, if necessary.
- b. Not implemented. As noted in item (a), the District provided the same documentation that had been provided in the prior year regarding the Soto re-configuration cost allocation, and we were therefore still unable to conclude that the bond/general fund allocation was adequately supported. Accordingly, any necessary adjustments will be assessed based on the resolution of item (a).
- c. Not implemented. ITS updated the documentation regarding the Soto re-configuration, which supported the proportional cost breakdown; however, the documentation was not submitted timely enough to allow for sufficient audit review. As a result, the documentation will be reviewed as part of the Fiscal Year 2026 audit.
- d. Implemented.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE K
PERFORMANCE AUDIT
JUNE 30, 2025**



**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE K
PERFORMANCE AUDIT
June 30, 2025**

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Independent Auditor's Report

The Honorable Board of Education and
School Construction Bond Citizens' Oversight Committee
Los Angeles Unified School District

We have conducted a performance audit of the Los Angeles Unified School District's (the District),
Measure K School Bond Construction Program for the year ended June 30, 2025.

We conducted this performance audit in accordance with *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain sufficient, appropriate evidence to provide a reasonable basis for our findings and conclusions based on our audit objective. We believe that the evidence obtained provides a reasonable basis for our findings and conclusions based on our audit objective.

Our audit was limited to the objective listed on page 4 of this report which includes determining the District's compliance with the performance requirements for the Proposition 39 Measure K General Obligation Bonds and outlined in Article XIII A, Section 1(b)(3)(C) of the California Constitution. Management is responsible for the District's compliance with those requirements.

In planning and performing our performance audit, we obtained an understanding of the District's internal control to determine if the internal controls were adequate to help ensure the District's compliance with the requirements of Proposition 39 and outlined in Article XIII A, Section 1(b)(3)(C) of the California Constitution, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

The results of our tests indicated that the District expended Measure K School Bond Construction Program funds only for the specific projects approved by the voters, in accordance with Proposition 39 and outlined in Article XIII A, Section 1(b)(3)(C) of the California Constitution.

Los Angeles, California
April 24, 2026

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE K
PERFORMANCE AUDIT
LEGISLATIVE HISTORY
June 30, 2025**

On November 7, 2000, California voters approved Proposition 39, the *Smaller Classes, Safer Schools and Financial Accountability Act*. Proposition 39 amended portions of the California Constitution to provide for the issuance of general obligation bonds by school districts, “for the construction, reconstruction, rehabilitation or replacement of school facilities, including the furnishing and equipping of school facilities, or the acquisition or lease of real property for school facilities”, upon approval by 55% of the electorate. Additional accountability measures, as stipulated in Education Code Section 15278 – 15282, and 15286, are as follows:

1. A requirement that the school district establish and appoint members to an independent citizens’ oversight committee.
2. A requirement that the proceeds from the sale of the bonds be used only for the purposes described in Article XIII A, Section 1(b)(3)(A) of the California Constitution and ensuring that no funds are used for any teacher or administrative salaries or other school operating expenses.
3. A requirement that the school district list the specific school facilities projects to be funded and certification that the school district board has evaluated safety, class size reduction, and information technology needs in developing that list.
4. A requirement that the school district conduct an annual independent performance audit, in accordance with Government Auditing Standards issued by the Comptroller General of the United States, required by Article XIII A, Section 1(b)(3)(C) of the California Constitution, ensuring that the funds have been expended only on the specific projects listed.
5. A requirement that the school district conduct an annual independent financial audit, in accordance with Government Auditing Standards issued by the Comptroller General of the United States, required by Article XIII A, Section 1(b)(3)(D) of the California Constitution, of the proceeds from the sale of the bonds until all of those proceeds have been expended for the school facilities projects.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE K
PERFORMANCE AUDIT
MEASURE K GENERAL OBLIGATION BONDS
June 30, 2025**

The Measure K School Bond Construction Program (Measure K) approved by the voters under California Proposition 39, known as the *Smaller Classes, Safer Schools and Financial Accountability Act* (Prop 39), is intended to provide the Los Angeles Unified School District (the District) funding for continued improvements to schools and to build new neighborhood schools that will provide an additional 112,000 new seats for children. Additionally, the Program has set funds aside for improving the neighboring communities by enhancing recreational activities and providing after-school space by constructing new schools, new parks, and libraries.

The Board of Education (the Board) has established a School Construction Bond Citizens' Oversight Committee (BOC) to ensure that the proceeds of Measure K's bond issuances are used for the purposes stated in the Board Resolution (the Resolution), which placed Measure K on the 2002 ballot.

The proceeds from the Measure K School Bonds are to be used for projects such as:

- repairing leaky roofs,
- connecting classrooms to intranets and the internet,
- equipping libraries at new schools with the initial stock of new books, and
- construction of new schools and early education centers.

All projects to be funded under Measure K must be included in the Strategic Execution Plans (SEPs) approved by the Board. The District has established General Obligation Bond Charging Guidelines to outline the allowable expenditures for Measure K. Such guidelines specifically state that no funds will be spent for teacher, administrator salaries or for school operating expenses.

The Measure K initiative authorized the issuance of \$3.35 billion in bonds. \$3.35 billion has since been issued between February 2003 and June 2010. The bonds are included in the audited financial statements of the District.

The District tracks the financial activities related to Measure K in the District Bonds Fund. The District Bonds Fund is comprised of multiple funds in the District's Audited Comprehensive Financial Report (ACFR).

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE K
PERFORMANCE AUDIT
OBJECTIVE, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

OBJECTIVE OF THE AUDIT

The following represents the objective of our performance audit:

1. Bond Expenditures and Recordkeeping

Determine that the District expended Measure K funds for the year ended June 30, 2025, only for the purpose approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution.

2. Procurement of Contracts

Determine that the District procured Construction Contracts in accordance with the District's Operational Standards Policies & Procedures and Desk-Top Procedures for Facilities Contracts.

The scope, methodology, and conclusions of the above objectives are enumerated in pages 5 through 10 of this report.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE K
PERFORMANCE AUDIT
OBJECTIVE, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING

Objective

Determine that the District expended Measure K funds for the year ended June 30, 2025, only for the purpose approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution.

Scope

The scope covers the period from July 1, 2024, to June 30, 2025. The population of expenditures tested includes object codes and specific projects associated with Measure K.

A total of \$20.9 million in expenditures were identified for fiscal year ended June 30, 2025, which consists of the following (thousands):

Non-Payroll Expenditures:	
Books and supplies	\$ 1,544
Services and other operating expenditures	288
Capital outlay	<u>16,999</u>
<i>Total non-payroll expenditures</i>	<u>18,831</u>
Payroll Expenditures:	
Classified salaries	199
Employee benefits	<u>109</u>
<i>Total payroll expenditures</i>	<u>308</u>
Other Financing Uses:	
Transfers out	<u>1,737</u>
<i>Total other financing uses</i>	<u>1,737</u>
Total Measure K Expenditures per ACFR - District Bonds Fund	<u>\$ 20,876</u>

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE K
PERFORMANCE AUDIT
OBJECTIVE, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING *(continued)*

a. Procedure Performed

We obtained a general ledger report prepared by the District detailing balances for all funds which made up the District Bonds Fund to reconcile the totals to the balances reported as of June 30, 2025, in the ACFR. We extracted from the general ledger report all activities pertaining to Measure K, Fund 213, as of June 30, 2025.

Conclusion

The results of our test indicated that all Measure K expenditure balances reconciled to the District Bonds Fund reported in the ACFR.

b. Procedures Performed

We selected a total of 89 individual invoices (sampled project expenditures) representing non-payroll expenditures amounting to \$1.23 million of the total population of non-payroll expenditures.

We obtained the original invoices and other relevant supporting documentation for expenditures sampled to determine compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and Measure K's approved specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments. We performed the following procedures:

- i. Determined that the sampled project expenditures were in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and were consistent with the work scope of Measure K's Resolution as presented to the voters and further defined by various Board approved SEPs and amendments.
- ii. Determined that the sampled project expenditures were not expended on school operating expenditures.
- iii. Verified that the appropriate District personnel had approved and reviewed all sampled project expenditures before payment was made.
- iv. Verified that corresponding projects or non-project allocations in each of the sampled project expenditures were included in the cumulative and various SEPs and amendments. For invoices which covered multiple projects, up to 5 projects were selected and tested.
- v. For sampled project expenditures representing Facilities Services Division (FSD) related construction payments, we verified construction project payment procedures had been met by testing the following:
 - The Contractor certified the Application for Payment by evidence of a signature.
 - The Owner Authorized Representative (OAR) certified that the services had been rendered by evidence of a signature.
 - The payment package included the Encumbrance/Payment request form, the Application for Payment, the Owner Assessment Summary, and other necessary supporting documents.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE K
PERFORMANCE AUDIT
OBJECTIVE, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING *(continued)*

Conclusions

We identified 15 instances of non-compliance with Procedure (b)(i). Refer to finding **MK-2025-001** in the Schedule of Findings and Responses for further details.

Facilities Services Division (FSD) issued its most recent Board approved SEP in 2024, which was used for testing. Expenditures pertaining to projects not listed in the 2024, or prior years, SEP's were tested in accordance with the board approved SEP amendments.

Additionally, the non-payroll expenditures were properly approved and reviewed by District personnel, along with construction payments adhering to construction project payment procedures.

c. Procedures Performed

We selected a total of 11 employees' payroll expenditures (sampled employees) for the entire fiscal year amounting to \$66.5K of the total population of payroll expenditures. We performed the following procedures:

- i. Determined that the sampled employees' payroll expenditures were in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution and were consistent with the work scope of Measure K's Resolution as presented to the voters and further defined by various Board approved SEPs and amendments.
- ii. Verified, based on interviews with the sampled employees, the work conducted in connection with the time charged to Measure K was in compliance with the requirements of Article XIII A, Section 1(b)(3)(C) of the California Constitution, and was not related to teacher or school administrative activities.
- iii. Verified that the District maintained adequate time and effort reporting controls and procedures for regular review of appropriate charges to Measure K by testing the following:
 - Sampled employees maintained a multi-funded timesheet, or
 - Sampled employees' Semi-Annual Certification Forms of Bond-Funded Work (Certification) were submitted to the Office of the Chief Financial Officer's (CFO) Bond Compliance Unit in accordance with the District's Bulletin BUL-6521.2 dated December 17, 2021, for the entire fiscal year.
- iv. For employees who submitted a Certification with a "% of Regular Time Spent on Bond-Eligible Projects/Activities" under 100% or whose time was not tracked on a project basis, we determined that payroll expenditures were based on the time associated with actual activities performed on Measure K, and not based on a predetermined budgeted rate/allocation, by reviewing supporting documentation to verify that payroll expenditures charged to Measure K were based on actual time spent on Measure K related activities.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE K
PERFORMANCE AUDIT
OBJECTIVE, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

1. BOND EXPENDITURES AND RECORDKEEPING *(continued)*

Conclusions

The results of our tests indicated that the sampled payroll expenditures were properly expended only for the purposes approved by the voters and only on the specific projects enumerated in the Resolution and included in the Board approved SEPs and amendments, in accordance with the requirements of Proposition 39, as specified by Article XIII A, Section 1(b)(3)(C) of the California Constitution and were not expended on teacher or school administrative activities.

Facilities Services Division (FSD) issued its most recent Board approved SEP in 2024, which was used for testing. Expenditures pertaining to projects not listed in the 2024, or prior years, SEP's were tested in accordance with the board approved SEP amendments.

The sampled employees maintained adequate time and effort reporting documents by either tracking time in Colin, Maximo, PATS, or custom forms on an internal order or project basis or submitting Semi-Annual Certifications of Bond-Funded Work.

For employees who submitted a Certification with a “% of Regular Time Spent on Bond-Eligible Projects/Activities” under 100% or whose time was not tracked on a project basis, the results of our tests indicated that payroll expenditures were based on the time associated with actual activities performed on Measure US, and not based on a predetermined budgeted rate/allocation, by reviewing supporting documentation which verified that payroll expenditures charged to Measure US were based on actual time spent on Measure US related activities.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE K
PERFORMANCE AUDIT
OBJECTIVE, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

2. PROCUREMENT OF CONTRACTS

Objective

Determine that the District procured Construction Contracts in accordance with the District's Operational Standards Policies & Procedures and Desk-Top Procedures for Facilities Contracts.

Scope

The scope covers contracts/agreements procured during the period of July 1, 2024, to June 30, 2025, in which the original funding strategy source assigned was Measure K.

Procedures Performed

We selected 1 Construction Contract to determine the District procured the contract in accordance with the applicable requirements of the Operational Standards Policies & Procedures and Desk-Top Procedures for Facilities Contracts by testing the following for each selected contract:

- i. We verified that the bid was properly advertised by testing the following:
 - Request for Advertising of a Construction Project was submitted by the OAR and approved by authorized District officials.
 - Bid Advertisements were placed in the Los Angeles Daily Journal and bidding information was provided to various trade publications.
 - Bids were advertised for two consecutive weeks.
- ii. We verified that the contract was awarded to a prequalified bidder by testing the following:
 - The prequalified bidder was included in the List of Currently Prequalified Prime/General Contractors for Formal Competitively Bid Projects. Projects that did not require formally pre-qualified bidders were approved by the Acquisition Strategy Board (ASB).
 - The bid date (from the Request for Advertisement) was valid as of the effective date of the List of Currently Prequalified Prime/General Contractors for Formal Competitively Bid Projects.
- iii. We verified that the contract was awarded to the lowest responsive bidder pursuant to Public Contract Code Section 20103.8(b) by reviewing the following:
 - If the Pre-Bid Meeting was mandatory the sign-in sheet/attendance sheet showed that the Bidder attended the Pre-Bid Meeting.
 - The required bid forms were submitted by the bidder along with their sealed bid (Bid and Acceptance Form, Bid Security Form, Certification Requirement, and Non-Collusion Affidavit).
 - At least 3 bidders responded to the advertisement (non-mandatory) or were among the attendees of the mandatory pre-bid meeting.
 - The contract was awarded to the lowest bidder as stated on the Tabulation of Bids Received by Facilities Construction Contracts. Lowest bid price is the lowest base bid without consideration of the prices on the additive or deductive bid items.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE K
PERFORMANCE AUDIT
OBJECTIVE, SCOPE, METHODOLOGY, AND CONCLUSIONS
June 30, 2025**

2. PROCUREMENT OF CONTRACTS *(continued)*

Procedures Performed *(continued)*

- iv. We verified that the award of the contract was properly executed.
 - The Contract Administrator (CA) prepared the Recommendation to Award (RTA) and signed off that all bidding requirements were met and that the identified bidder was the lowest responsive and responsible bidder.
 - Facilities Construction Contracts (FCC) forwarded the RTA (Exhibit L) to Facilities Procurement and Payment Services (FPPS) for funding verification and approval. The RTA under a Master Contract did not show the specific amount of the contract but rather the pre-encumbered minimum guaranteed amount. This form showed the range (minimum to maximum) amount of the contract.
 - RTA was signed by the CA, the Director/Deputy Director (Delegated/Authorized signatories), and a copy was given to the OAR and/or Project Manager.
 - Notice of Intent to Award (NOIA) was transmitted to the Contractor with the remaining requirements before the contract was awarded.
 - Within 10 days of receipt of NOIA, the awarded contractor picked up the NOIA package, plans, and specification, including any addenda; enrolled in OCIP; and submitted the package to the FCC: (1) one executed original of the payment bond (2) one executed original of the performance bond (3) confirmation that bidder submitted the required paperwork to enroll in the Owner Controlled Insurance Program (OCIP). Certain contracts do not require OCIP and Advertisement because of the nature of the service rendered, such as "Emergency Asbestos Removal." In these cases, the contractor was required to provide a copy of their own insurance coverage.
 - Final contract was issued with evidence of all required approvals.
- v. We verified that the contract award was properly authorized and approved by the Board.
- vi. We verified that the extract of the Public Works Contract (PWC) Award was forwarded to the California Department of Industrial Relations - Division of Apprenticeship Standards.

Conclusions

The results of our tests indicated that the District procured the selected Construction Contract in accordance with the applicable requirements of the District's Operational Standards Policies & Procedures.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE K
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

MK-2025-001 – Indirect Cost Charges

Criteria

Indirect costs are associated with the bond program but should not or cannot be reasonably attributed to individual projects. These costs include the following:

- *Program Management:* Includes program level support costs for staff members of the Facilities Executive Office and FSD branches. Also includes activities that may be needed to prepare for Board review of project definitions such as surveying, master planning, standards development, and initial project scoping.
- *Non-FSD Support:* Includes costs of support staff outside of FSD, but funded by the bond program, such as the offices of the General Counsel, Inspector General, Procurement Services, Accounts Payable, Risk Management, and the Personnel Commission.
- *Other Indirect Costs:* Includes costs associated with bond issuance, professional services related to program needs, and bond program operating costs such as supplies, equipment, technology, and previously leased space for bond program staff.

Purchases associated with indirect costs that benefit both bond projects and non-bond projects should be allocated based on a proportional cost analysis that reflects the relative benefit to each program, ensuring an equitable distribution of expenditures.

Condition, Cause & Effect

In conjunction with Objective 1, Procedure (b)(i), of the non-payroll expenditures sampled, we identified the following:

1. Facilities Technical Services / Indirect IT Equipment and Software Costs (Mouse/Headsets, Oracle, Bluebeam, and Autodesk)

Based on our review of 10 non-payroll expenditures charged to the bond fund by Facilities Technical Services, it was determined that certain IT equipment, software, licensing, and technology-related costs benefiting both bond and non-bond activities were charged to the bond funds without a proportional cost analysis based on current year actual activity. In multiple instances, the support provided reflected that the allocation methodology was based on prior year data, budgeted assumptions, or other inputs that did not represent actual current year usage. The exceptions identified were as follows:

- IT equipment: We identified 1 invoice related to mouse and headset equipment for which the allocation to the bond funds was based on budgeted figures for payroll rather than actual payroll incurred. The reported exception identified for this item was \$657.00.
- Bluebeam software and related services: We identified 2 invoices related to Bluebeam software and related services for which the allocation to the bond funds was based on budgeted figures for payroll rather than actual payroll incurred. The reported exception identified for these items was \$2,810.93.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE K
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

MK-2025-001 – Indirect Cost Charges *(continued)*

Condition, Cause & Effect *(continued)*

- Oracle Universal Credits: We identified 5 invoices related to Oracle Universal Credits for which the expenditure benefited both bond and non-bond projects and should have been supported by an analysis allocating the costs accordingly. No reported exception amount had been finalized for these items as of the completion of audit fieldwork.
- Autodesk software: We identified 2 invoices related to Autodesk software for which the allocation to the bond funds was based on budgeted figures for payroll rather than actual payroll incurred. No reported exception amount had been finalized for these items as of the completion of audit fieldwork.

As a result, we were unable to conclude that the bond fund allocations for these Facilities Technical Services IT equipment and software expenditures were supported by an equitable distribution of costs between bond and non-bond activities.

2. Facilities Contracts / Real Estate – Docusign

Based on our review of 1 non-payroll expenditure charged to the bond fund for Docusign electronic signature software used by Facilities Contracts and Real Estate, it was determined that the bond-funded portion of the cost was allocated using prior year document or envelope counts rather than current year actual usage at the time the expenditure was charged. Although the District later provided current year actual data reflecting a lower bond-funded percentage, the bond fund allocation had not been adjusted during the fiscal year, resulting in a reported exception of \$1,851.24.

3. Facilities Condition Assessment / FETU - GeoSystems FETU Mobile Data Collection

Based on our review of 1 non-payroll expenditure charged to the bond fund for GeoSystems software annual maintenance and support used by the Facilities Environmental Technical Unit and Facilities Condition Assessment teams, it was determined that the expenditure was initially allocated between bond and non-bond funds using a fixed percentage rather than actual current year activity. The 26% shown in the FY-25 Projects and IOs Report represents the aggregate of all M&O area bond-funded expenditures. For Facilities Environmental Technical Unit and Facilities Condition Assessment projects, 41.46% of FY-25 expenditures were charged to bond funds. Accordingly, the bond-funded share differed from the percentage originally charged, resulting in a reported exception of \$2,238.34.

4. Small Business Enterprise / Community Outreach – Bus Advertisement Services

Based on our review of 1 non-payroll expenditure charged to the bond fund for bus advertisement services used by the Small Business Enterprise office, it was determined that no proportional analysis was performed over the cost charged to the bond funds. The District indicated that the advertising work was conducted solely for the Small Business Enterprise office and was intended to encourage small businesses to bid on bond projects; however, the support provided did not include a current year proportional analysis demonstrating how the expenditure should be allocated between bond and non-bond activities. A reported exception amount had not been finalized for these items as of the completion of audit fieldwork.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE K
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

MK-2025-001 – Indirect Cost Charges *(continued)*

Condition, Cause & Effect *(continued)*

5. Sustainability Unit / Contest Costs - Contest

Based on our review of 1 non-payroll expenditure charged to the bond funds for contest-related costs, it was determined that the expenditure should be moved out of the bond funds. Supporting correspondence reflected that the expenditure was to be allocated to the Sustainability Unit; however, during audit fieldwork, the District did not provide evidence that the cost had been moved out of the bond fund. Accordingly, the expenditure remained charged to the bond funds, resulting in a reported exception of \$447.75.

6. State Grant Audit Costs – County School Facility Bond Audits

Based on our review of 1 non-payroll expenditure charged to the bond funds for audit services related to State grant-funded projects, it was determined that the cost had been charged entirely to the bond funds even though the related projects were funded by both bond and State sources. Following further discussion with the District, it was determined that the audit fees associated with the State grants should be charged to the bond fund only to the extent of the bond-funded share of the related projects. As of the completion of audit fieldwork, the District had not finalized the analysis or processed the adjustment. A reported exception amount had not been finalized for this item as of the completion of audit fieldwork.

Recommendation

We recommend the following to the District:

- a. Facilities Services Division - For each of the purchases identified in our finding, conduct a proportional cost analysis to evaluate the relative benefit that the indirect cost provides to both bond and non-bond projects. Additionally, adjust Measure K's expenditure based on the proportional cost analysis conducted ensuring an equitable distribution of expenditures.
- b. Bond Compliance Unit - Provide training, guidance, and support to the impacted departments to ensure compliance with established policies and procedures in items (a).
- c. The District should establish policies and procedures regarding the use of bond funds for indirect costs, including (1) clear basis for establishing the budgeted indirect cost, (2) clear procedures and basis for establishing actual indirect costs charged, (3) clear reporting of indirect costs incurred, and (4) establishing indirect cost budgets within the Strategic Execution Plan(s), subject to approval by the Board of Education.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE K
PERFORMANCE AUDIT
SCHEDULE OF FINDINGS AND RESPONSES
June 30, 2025**

MK-2025-001 – Indirect Cost Charges *(continued)*

Views of Responsible Officials and Planned Corrective Actions

a. Facilities Services Division

The FSD purchases were not acquired for non-bond purposes, and as the completed calculations show, most of the benefits were received by the bond program. Where purchases were intended to benefit both bond and non-bond programs, FSD apportioned the costs by the estimated benefit to each program. Although the auditor has questioned those apportionments, FSD feels that the estimates used were reasonable.

FSD is concerned that effort required to reallocate costs a year or more after the purchase is not a cost-effective method of apportionment and adversely affects planning when the costs to each program are unknown even after the purchase is made. Although it will have adverse consequences to the District's programs as a whole, the most efficient way of complying with this requirement is to simply reserve items purchased with bond funds to be used exclusively for bond funded purposes.

FSD will perform the following corrective actions in Fiscal Year 2026:

1. Facilities Technical Services / Indirect IT Equipment and Software Costs (Mouse/Headsets, Oracle, Bluebeam, and Autodesk)

FSD will finalize and process the adjustment amounts already requested and conduct additional software audits for Autodesk for the upcoming software renewal. Please note that FSD employs a reasonableness standard when choosing specific metrics to distribute costs to various funding sources at the time the items are purchased. Software and equipment purchases were intended to benefit the Bond program with ancillary benefits to non-Bond projects.

2. Facilities Contracts / Real Estate – Docusign

FSD will process the \$1,851.24 adjustment requested. FSD employs a reasonableness standard when choosing specific metrics to distribute costs to various funding sources at the time the items are purchased. Software purchases are intended to benefit the Bond program with ancillary benefits to non-Bond projects.

3. Facilities Condition Assessment / FETU - GeoSystems FETU Mobile Data Collection

FSD will process the \$2,238.34 adjustment requested. FSD employs a reasonableness standard when choosing specific metrics to distribute costs to various funding sources at the time the items are purchased. Software purchases are intended to benefit the Bond program with ancillary benefits to non-Bond projects.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
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MK-2025-001 – Indirect Cost Charges *(continued)*

Views of Responsible Officials and Planned Corrective Actions *(continued)*

4. Small Business Enterprise / Community Outreach – Bus Advertisement Services

The intent of these advertisements was to attract contractors for bond projects. FSD finalized the adjustment amount to \$7,562.88 using a recalculation based on the total expenditures of non-bond FSD contracts signed in FY-25 and will process the adjustment in FY-26.

5. Sustainability Unit / Contest Costs – Contest

FSD concurs with the determination that these contest costs should not be charged to MK and will coordinate with the Office of Eco-Sustainability to transfer \$447.75 out of Measure K.

6. State Grant Audit Costs – County School Facility Bond Audits

Facilities will process an adjustment to a non-bond source.

- b. Bond Compliance Unit - The Bond Compliance Unit will engage with impacted departments by June 30, 2026, to provide guidance and support to address compliance with established policies.
- c. The District will review and revise existing procedures in light of the recommendation to improve the budgeting, charging, and reporting of indirect costs and accountability thereof.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
SCHOOL BOND CONSTRUCTION PROGRAM
MEASURE K
PERFORMANCE AUDIT
SCHEDULE OF PRIOR YEAR FINDINGS AND RESPONSES
June 30, 2025**

MK-2024-001 – Indirect Cost Charges

Recommendation

We recommend the following to the District:

- a. For each of the purchases identified in our finding, conduct a proportional cost analysis to evaluate the relative benefit that the indirect cost provides to both bond and non-bond projects.
- b. Adjust Measure K's expenditure based on the proportional cost analysis conducted in item (a) ensuring an equitable distribution of expenditures.
- c. Include in the District's bond policies and procedures guidelines ensuring purchases associated with indirect costs benefiting both bond projects and non-bond projects are allocated based on a proportional cost analysis that reflects the relative benefit to each program, ensuring an equitable distribution of expenditures.
- d. Provide training, guidance, and support to the impacted departments to ensure compliance with established policies and procedures in item (c).

Views of Responsible Officials and Planned Corrective Actions

- a. *IBM Maximo*: The District concurs with the finding that Measure K was overcharged by 7% or \$14,739.50 for non-Bond activities.

FSD Equipment Purchases: The District concurs with the finding that a portion of the cost of the equipment purchased was overallocated to Measure K and will conduct a Bond/non-Bond cost analysis for employees whose function is primarily non-Bond.

The Gordian Group, Inc.: The District concurs with the finding over the license renewal for The Gordian Group, Inc. on purchase order number 4500526389. Of the total \$512,250 charged to Measure K, 4.16% or \$21,331.99, was for non-bond projects.

- b. The District will process the necessary corrections for the overcharge to Measure K in FY25.
- c. The District will develop bond policies and procedures over indirect cost purchases benefiting bond and non-bond projects.
- d. The District will provide training, guidance, and support to the impacted departments to ensure compliance with item (c).

Current Status

- a. Implemented.
- b. Implemented.
- c. Not implemented. This item is still ongoing. There was not enough time between the conclusion of the FY-24 audit in March 2025 and the beginning of the FY-25 financial audit in July 2025 for the District to develop the appropriate policies and procedures.
- d. Implemented.